



CIRCLE S.M.A.R.T · STAGE 1

WEEK 1

How the market works, and the language of price

Class handout · English edition

This week's days

Day 1	How Indian markets actually run
Day 2	Orders, liquidity and the real cost of a trade
Day 3	Trader vs gambler: the maths most beginners skip
Day 4	AI as your co-pilot, and your scam radar
Day 5	Reading a chart: candles, timeframes and volume
Day 6	Trend, zones and gaps: reading price structure
Day 7	Week 1 review and Shortcut Trap #1: audit the tips

How to use this handout

- Read one day at a time, in order. Each day ends with a task, AI Lab prompts, a journal question and a 5-question quiz.
- Submit the quiz and save the journal in the app: that is what opens the next day and counts for your score.
- All charts and numbers are illustrative, and every company name in an example is made up. Virtual money only. Nothing here is a tip or a buy or sell call.

Contents

Day 1 **How Indian markets actually run**

The referee, the ground and the players · The index: one number for the whole market · Your three accounts and one KYC · The journey of an order, from your phone to your demat · The market clock, and when prices are stopped · Beginner's overconfidence: three wins are not skill

Day 2 **Orders, liquidity and the real cost of a trade**

Bid, ask and spread: every share has two prices · Market or limit: speed or price · Stop-loss orders: a trigger, not a promise · Delivery or intraday, and orders that wait · Costs, the contract note and tax heads · The urge to act now

Day 3 **Trader vs gambler: the maths most beginners skip**

Trader or gambler: the difference is maths · R: one ruler for every trade · Expectancy: what one trade is worth on average · The breakeven win-rate: judge any accuracy claim · Losing streaks, drawdown and the long climb back · The lure of tips: why a tip feels so good

Day 4 **AI as your co-pilot, and your scam radar**

AI is the analyst, you are the trigger · Fact, Guess or Kachra: sort every claim · Hallucination and the knowledge cutoff · Automation bias: when a neat answer switches off your brain · Data hygiene: what never goes into an AI · Don't become a tipster, and spot one in an AI costume

Day 5 **Reading a chart: candles, timeframes and volume**

Your free chart, and three ways to draw price · One candle, four prices · Timeframes: the zoom button of a chart · Volume: how many shares changed hands · Adjusted prices: the crash that never happened · Seeing patterns everywhere

Day 6 **Trend, zones and gaps: reading price structure**

Swing points: the staircase of a trend · Support and resistance: zones, not lines · When a level breaks: real, false, and role reversal · Five candle patterns, and why context matters · Gaps: four types and one impostor · Level ka moh: when your level breaks

Day 7 **Week 1 review and Shortcut Trap #1: audit the tips**

Week 1 in five questions · Shortcut Trap #1: the scoreboard that hides its losses · The audit: four fields and two rules · The result: 80% shown, 60% real, and still losing · Red flags: fake apps and WhatsApp 'investment groups' · Verify first, then complain the right way

Important information and disclaimer

Every day has the same shape: the story, 4-6 topics with pictures, words of the day, a recap map, today's task, AI Lab prompts, a journal question, a closing line and a 5-question quiz.

How Indian markets actually run

Concept: Market structure: who runs it and what happens after you tap Buy

AI Lab: Follow my order: AI explains, you verify

Mindset: Beginner's overconfidence

Where did my shares go?

Saturday, 10 am. Aman calls the mentor from Pune. Priya joins the call.



Aman

Sir, on Friday I bought 20 shares of Sharma Textiles Ltd. They are not showing in my demat, and the price on my app has not moved all morning. Is something wrong?



Mentor

Relax, Aman. Two questions first. Is the market open on a Saturday? And after you tap Buy, how many days do shares take to reach your demat?



Aman

Umm... I thought I tap Buy and the shares just appear. All three of my trades this week made money, so I assumed I had understood everything.



Priya

Sir, so there is a whole chain behind that one Buy button that we never see?



Mentor

Exactly. Today we follow one order from your phone to your demat. And Aman, three wins in one good week prove very little. Understanding comes first.

The lesson: Tapping Buy takes two seconds. Knowing what happens behind it is the real first step.

Learn

01 The referee, the ground and the players

A share is a small piece of ownership in a company: own one share of Sharma Textiles Ltd and you own a tiny slice of that business. Think of the market as a cricket match. SEBI (Securities and Exchange Board of India) is the referee: it makes the rules, registers brokers and advisers, and acts on complaints. NSE and BSE are the two main grounds, called stock exchanges, where buy and sell orders meet. The players are FII/FPI (foreign investors such as overseas funds), DII (Indian institutions such as mutual funds and insurance companies) and retail (individuals like you). Every trading evening NSE publishes provisional figures of how much FII/FPIs and DIIs bought and sold in shares that day; buying minus selling is their net flow. Day 7 shows you how to check a registration and where to complain.

Who's who in the market

SEBI = referee

- Makes the rules
- Registers brokers, advisers, analysts
- Acts on complaints

NSE / BSE = ground

- Buy and sell orders meet here
- Publishes prices and indices
- Sets a daily price band per stock

Players

- FII/FPI: foreign funds
- DII: Indian funds, insurers
- Retail: you and me
- NSE posts their net flow daily

Bigger players move bigger money, but no one player controls the market.

EXAMPLE

At a sabzi mandi at dawn, a hotel buyer takes 500 kg of tomatoes while a family buys 1 kg; the big order moves the price. Markets work the same way: one fund may buy Rs 500 crore of shares in a day, a retail buyer Rs 5,000. One evening NSE's figures read: FII/FPI net -Rs 1,240 crore, DII net +Rs 1,610 crore, and NIFTY 50 had closed almost flat. Aman sees a headline, 'FIIs dump shares', and wants to sell everything tomorrow. Priya writes both numbers in her log and does nothing: the figures are provisional, they arrive after the close, and no fund tells you why it bought or sold. And every time you buy, someone is selling to you; that seller may know more than you do.

Remember: SEBI registration means rules to follow and a place to complain, never profit. One day's FII/DII flow is news, not a buy or sell signal.

02 The index: one number for the whole market

An index is a basket of shares shown as a single number, like a thermometer for the market. NIFTY 50 tracks 50 large companies listed on NSE; SENSEX tracks 30 large companies on BSE; NIFTY Bank tracks banking shares. Companies are chosen by rules on size and trading activity, and bigger companies carry more weight. That weight comes from free-float market capitalisation: the market value of only the shares free to trade, leaving out those held by promoters (the founders or controlling group) and other strategic holders. So one heavyweight falling can pull the index down even on a day when most shares rise. You cannot buy an index itself; index funds and ETFs copy it, and Day 10 covers them.

How weight moves an index

	Big Co: 50% weight, falls 4%	-2.0%
+	Mid Co: 30% weight, rises 2%	+0.6%
+	Small Co: 20% weight, rises 5%	+1.0%
=	Index move	-0.4%

Two of three shares rose, yet the index fell. Weight matters more than headcount.

EXAMPLE

Think of a class average where the toppers' marks count more. In a mini-index, Big Co has 50% weight, Mid Co 30% and Small Co 20%. Big Co falls 4% while the other two rise. The index still ends lower, as the calculation shows. And weight counts only the free float: a company worth Rs 1,00,000 crore whose promoters hold 60% counts as Rs 40,000 crore.

Remember: The index gives the market's mood in one number, but heavyweights speak loudest.

03 Your three accounts and one KYC

To trade you need three linked accounts. A bank account holds your money. A trading account, opened with a broker, is where you place buy and sell orders. A demat account holds your shares in electronic form at a depository, NSDL or CDSL, in your own name. You open it through a depository participant (DP), an agent of the depository registered with SEBI; usually your broker is your DP, but the broker does not own your shares. KYC (Know Your Customer) is the identity check with your PAN, address proof, photo and a live or video verification. You do it once: the record is kept by a KYC Registration Agency (KRA), and another SEBI-registered firm, such as a second broker or a mutual fund, can fetch it instead of starting again. No genuine broker, exchange or SEBI official will ever ask for your password, OTP or TPIN (a PIN used to approve selling shares from your demat).

Three accounts, one KYC

Bank = purse

- Holds your money
- Pays for buys, receives sale money

Trading = shop counter

- Opened with a broker
- Your orders go through it

Demat = locker

- Shares in your name
- Held at NSDL or CDSL
- Opened through a DP, often your broker
- Name a nominee

Your shares sit in your own demat. KYC is done once and kept by a KRA. Nobody genuine asks for your OTP, password or TPIN.

EXAMPLE

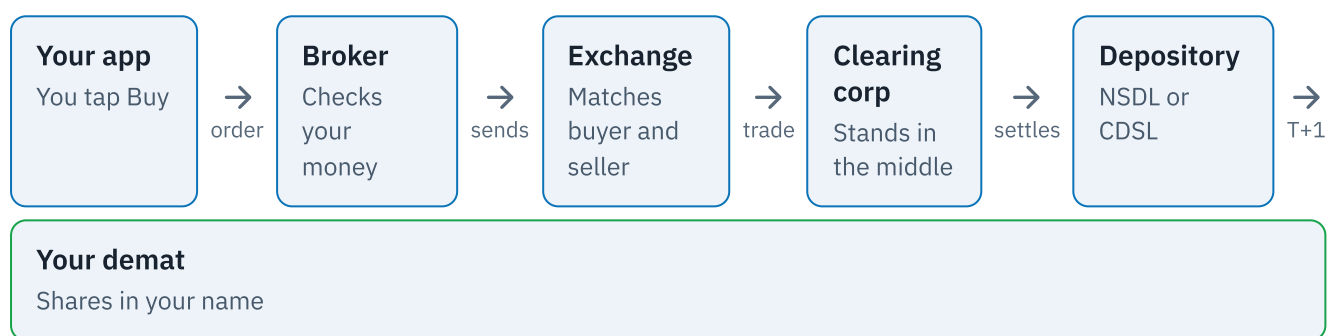
Priya explains it her way: the bank account is her purse, the trading account is the shop counter where she places an order, and the demat account is her bank locker. When she buys 10 shares of Gupta Cement Ltd at Rs 450, Rs 4,500 plus small charges (Day 2) leave her trading balance, and on the next trading day (T+1, explained in the next topic) the 10 shares land in her locker, in her own name. Like a bank locker, a demat account asks you either to name a nominee, the person who can claim your shares if something happens to you, or to opt out in writing. Name one: without a nominee, your family faces long paperwork to get the shares. In Stage 1 you need none of these accounts: the app's Portfolio page holds Rs 10 lakh of virtual money, and paper trading on it starts on Day 12.

Remember: Money in the bank, orders through the broker, shares in your demat, and your OTP stays with you.

04 The journey of an order, from your phone to your demat

When you tap Buy, your order first goes to your broker, who checks that you have enough money. The broker sends it to the exchange, where a computer lines up every buy and sell order: the best price goes first, and at the same price, whoever came first. When a buyer's price meets a seller's price, a trade happens. The clearing corporation then stands between the two sides; it becomes the buyer to every seller and the seller to every buyer, so neither depends on a stranger. On T+1, the next trading day, the shares reach the buyer's demat through the depository, and the money reaches the seller's broker.

Follow one order



Money travels the other way: from the buyer's broker, through clearing, to the seller.

EXAMPLE

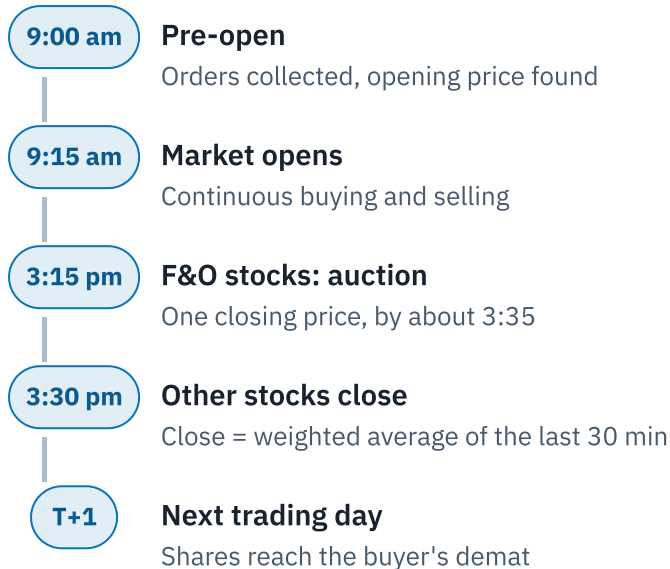
Remember Aman's Friday? He bought 20 shares of Sharma Textiles Ltd at Rs 250 at 11 am, a Rs 5,000 order. Saturday and Sunday are not trading days, so T+1 was Monday. Nothing was lost; the shares were simply on the way. An optional same-day cycle exists for a limited list of stocks; check with your broker.

Remember: T+1 counts trading days, not calendar days. Buy on a Friday and the shares normally arrive on Monday.

05 The market clock, and when prices are stopped

NSE's normal session runs from 9:15 am to 3:30 pm on trading days. Just before it, from 9:00 to 9:15, is the pre-open session, where orders are collected and one opening price is worked out. Since 3 August 2026 the day ends in two ways. Stocks that have F&O contracts stop continuous trading at 3:15 pm, and a short closing auction, roughly 3:15 to 3:35 pm, sets one closing price. Other stocks trade on to 3:30 pm, and their closing price is the volume-weighted average of roughly the last 30 minutes. The market is closed on weekends and exchange holidays; rarely, the exchange announces a special session, such as Muhurat trading on Diwali or a session when the Budget falls on a weekend. A price band, often called a circuit, is the daily limit the exchange sets on how far most stocks may move; some heavily traded stocks have a flexible limit instead. When a stock hits its lower band, there may be many sellers and almost no buyers. If the index moves too sharply either way, a market-wide circuit breaker can pause all trading. Timings and bands can change, so check the NSE website for the latest.

One trading day, then T+1



Closed on weekends and exchange holidays. Timings can change: check nseindia.com for the latest timings and the holiday list.

EXAMPLE

Kiran Foods Ltd falls after bad news and hits its lower price band, Rs 180, the floor the exchange set for today; each stock's quote page on nseindia.com shows its band. Aman wants to sell 50 shares, worth Rs 9,000 at that price, but lakhs of shares are already queued to sell and very few buyers are around. His order just waits in the line and may not fill today. Day 2 shows why even a stop-loss cannot promise your exit price.

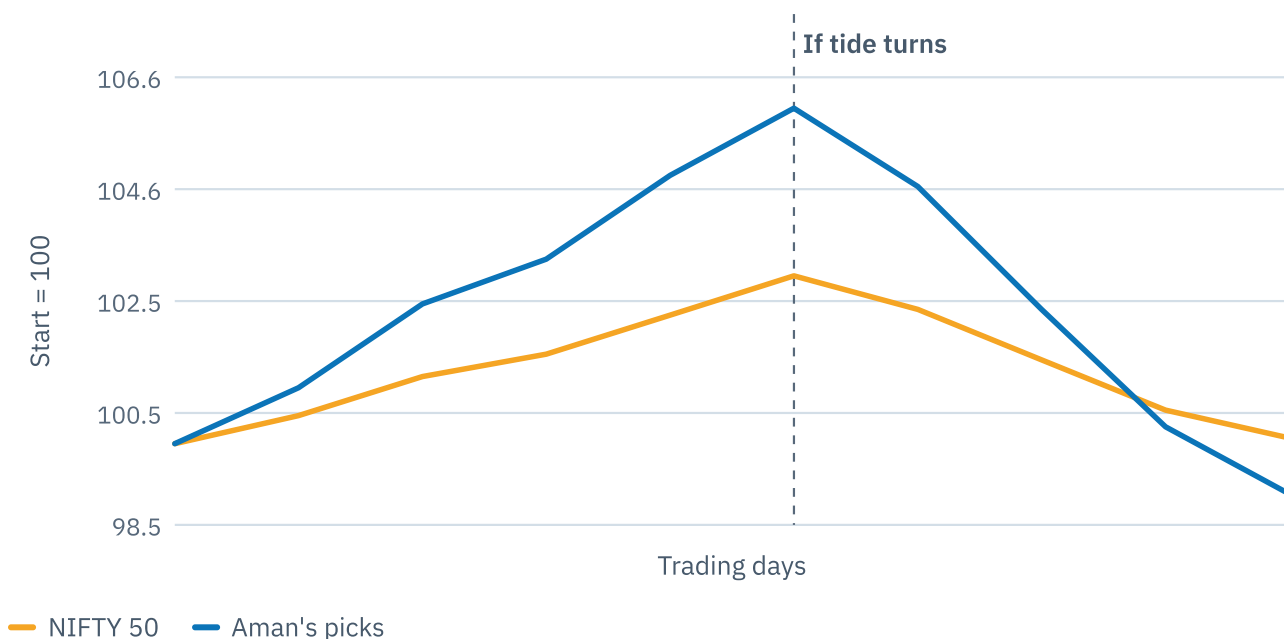
Remember: A price band can stop you from selling. Knowing this before you buy is part of understanding risk.

06 Beginner's overconfidence: three wins are not skill

Overconfidence means believing we are more skilled than we really are. It hits hardest right after a few early wins. When the market is rising, many shares rise with it, so three winning trades in a good week may be the market's tide, not your skill. Skill shows only over many trades in different conditions; this course asks for at least 30 trades before you judge any rule. That is why Stage 1 uses virtual money only: a Rs 10 lakh practice account on the Portfolio page, paper trading from Day 12, and scores for following your rules, not for profit.

Riding the tide

ILLUSTRATIVE



Both lines start at 100. In his winning week Aman's picks rose faster than NIFTY 50; in this what-if, they fall faster when the tide turns. Three wins cannot tell tide from skill.

EXAMPLE

In Aman's winning week, NIFTY 50 itself rose about 3%, and his three trades made Rs 1,800. Priya asked him one question: 'Would these trades have worked if the market had fallen that week?' Aman had no answer. Asking that question after every win is the simplest cure for overconfidence.

Remember: Judge a method after 30 trades, never after three.

Words from today

Share

A small piece of ownership in a company.

Index

A basket of shares shown as one number, such as NIFTY 50 or SENSEX. Bigger companies carry more weight.

Free-float market cap

The market value of only the shares free to trade, leaving out promoter and other strategic holdings. NIFTY 50 and SENSEX weight companies by it.

FII/FPI and DII

Foreign investors (the official term is now FPI) and Indian institutions such as mutual funds and insurers. NSE publishes their provisional net buying or selling every trading evening; one day's figure is not a signal.

Demat account and DP

The demat account holds your shares electronically, in your name, at NSDL or CDSL. You open it through a depository participant (DP), usually your broker, who does not own your shares.

KYC and KRA

KYC: the one-time identity check (PAN, address proof, photo, live verification). KRA: the KYC Registration Agency that keeps the record, so other SEBI-registered firms can fetch it.

T+1 settlement

Trade day plus one trading day: when shares reach the buyer and money reaches the seller.

Price band (circuit)

The daily limit the exchange sets on how far most stocks can move. At the band, your order may not fill.

Recap map

Recap

Who's who

SEBI = referee
NSE, BSE = grounds
FII/FPI, DII, retail = players
Registration is no promise of profit

Scoreboard

NIFTY 50, SENSEX, NIFTY Bank
Weight = free-float market cap
Heavyweights move it most
FII/DII flow: news, not a signal

Your accounts

Bank = money, trading = orders
Demat = shares in your name, via a DP
KYC once, via a KRA; name a nominee
Never share OTP or TPIN

How the market runs

Order journey

App, broker, exchange
Clearing, depository, demat
T+1 = next trading day

Market clock

Pre-open 9:00-9:15
Normal session 9:15 am-3:30 pm
F&O stocks: closing auction from 3:15
Price bands can block your exit

Your mind

Three wins are not skill
Judge after 30 trades
Virtual money only in Stage 1

Today's task

30 min

See the market's machinery for yourself: write who does what, rebuild an order's journey from memory, and start a five-evening FII/DII flow log.

- ☐ In the 'Who does what' template below, write one line each on what NSE/BSE, your broker, NSDL/CDSL and the clearing corporation do, without looking. Then tick each line against today's lesson.
- ☐ Fill the 'Six stops' template from memory, from your app to your demat, then check it against today's order-journey flow.
- ☐ On nseindia.com, find this year's trading holidays list and write down the next market holiday.
- ☐ On a trading-day evening, search 'FII/DII trading activity' on nseindia.com and copy the FII/FPI and DII net figures (Rs crore) into the first empty row of your flow log. On a holiday or weekend, use the latest trading day. Write no buy or sell conclusion.
- ☐ Open a free TradingView chart of NIFTY 50 and write that day's % change in the same row of your flow log.
- ☐ Run the AI Lab prompt 'Follow my order' and mark every line you cannot confirm on the SEBI or NSE website as 'Not sure'. Never type your PAN, OTP or account details into any AI.

YOUR TEMPLATE

Who does what

The SEBI row is a model answer. Fill the other four from memory, then tick each one against the lesson.

Who	Their job, in my words	Checked?
SEBI	Makes the rules, registers brokers and advisers, acts on complaints	Yes
NSE / BSE		
My broker (my DP)		
NSDL / CDSL		
Clearing corporation		

Six stops of one order

Stop 1 is done for you. Fill stops 2 to 6 from memory, then compare with the 'Follow one order' flow in the lesson.

Stop	Who	What happens here
1	Your app	You tap Buy and the order leaves your phone
2		

Stop	Who	What happens here
3		
4		
5		
6		

FII/DII flow log, five evenings

The example row is made up. Add one row each trading evening this week. On Day 7, read the five rows together and ask: did any one evening's flow tell you what the next day would do?

Date	FII/FPI net (Rs cr)	DII net (Rs cr)	NIFTY 50 change	What I noticed
Example	-1,240	+1,610	+0.1%	FPIs sold, DIIs bought; index almost flat

OUTCOME

By the end you can explain who runs the Indian market and why one day's FII/DII flow is not a signal, how an index is weighted, what your demat account, DP and KYC are, what happens after you tap Buy up to T+1, when the market is open and when a price band can stop you, and why three early wins do not prove skill.

TOOLS

- SEBI website (sebi.gov.in)
- NSE website (nseindia.com)
- TradingView free chart
- Paper or Google Sheets
- Any AI chat

WITH YOUR BATCH

Role-play 'Follow my order': with classmates or family, six people play app, broker, exchange, clearing corporation, depository and demat, and pass one paper order along. Anyone who forgets their job explains it again. Halfway through, someone holds up a 'Saturday' card: everyone must say where the order is waiting and when it moves again. Alone? Write the six names on chits, lay them in order and say each one's job aloud.

Studying on your own? Do it yourself and note what you found in your journal.

Note: Educational content only, not investment advice. Stage 1 uses virtual money only. 5 Circles Pvt Ltd · SEBI Registered Research Analyst · Reg. No. INH000020004

AI Lab

AI is the analyst; you pull the trigger. Run a prompt in any AI tool, then sort its answer into Fact, Guess and Kachra (junk).

Follow my order

You are a patient teacher of the Indian stock market, talking to a complete beginner. Explain, in short numbered steps, what happens after I tap Buy for 10 shares of a made-up NSE-listed company, 'Gupta Cement Ltd', through a broker app at 11:00 am on a Friday: the broker's checks, the exchange order book and matching, the clearing corporation, the depository (NSDL or CDSL), my demat account, and when the shares arrive under T+1 settlement given the weekend. Label every statement as Checkable (I can confirm it on the SEBI, NSE, BSE, NSDL or CDSL website) or Not sure (you are not certain, or it may have changed). End with a list of the facts I should re-check on official websites because they can change. Do not recommend any stock, do not give buy or sell advice, and do not mention targets or expected returns.

Myth or fact: market basics

List 8 common beliefs that Indian beginners hold about how the stock market works, for example 'my broker owns my demat account', 'the market is open on Saturday', 'SEBI registration means profits', 'the index is just the average of its shares' and 'FIIs sold today, so the market must fall tomorrow'. For each belief, label it True, False or Not sure, give a one-line correction in simple words, and name the official website (SEBI, NSE, BSE, NSDL or CDSL) where I can check it. Do not recommend any stock, do not give buy or sell advice, and do not mention targets or expected returns.

Overconfidence check

Act as a calm trading-psychology coach. Ask me 6 short questions, one at a time, to find out whether I am overconfident about trading: how I explain my past wins, how many trades I look at before trusting a method, what I did after a winning streak, and how I would react to three losses in a row. After my answers, give me a plain summary: where I may be overconfident, one habit to reduce it, and one question to ask myself after every win. Do not ask for any personal or financial details, do not suggest any stock or strategy, and do not give buy or sell advice, targets or return expectations.

The same prompts are in this day's AI Lab tab in the app, with a Copy button. Never paste your PAN, client ID, passwords, OTPs or contract notes into any AI.

Journal

Which stop in an order's journey surprised you most today? And recall one time you may have mistaken luck for skill, in markets, cricket or exams. What really caused that win?

Write your answer here, then save it in the app's Journal tab.

Today you saw the map of the market. A map does not take you anywhere by itself, but without it every road is a guess.

Quiz

Tick your answers here, then submit the quiz in the app: only the app attempt counts.

Q1. Priya buys 10 shares of Gupta Cement Ltd on a Friday. Monday is a normal trading day. Under T+1 settlement, when should the shares reach her demat account?

- ☐ A On Friday, within a few minutes
- ☐ B On Tuesday, two trading days later
- ☐ C On Monday, the next trading day
- ☐ D On Saturday, the next calendar day

Q2. A made-up index has three companies. A has 60% weight and falls 3%. B has 25% weight and rises 2%. C has 15% weight and rises 2%. Roughly how does the index move?

- ☐ A It falls about 3.0%: the biggest company sets the move
- ☐ B It rises about 1.0%: just add the three moves
- ☐ C It falls about 1.0%: A's heavy weight outweighs B and C
- ☐ D It rises about 0.3%: two of the three shares rose

Q3. Priya opened her demat account through her broker, who is her depository participant (DP). After settlement, where are the shares she bought actually held?

- ☐ A At the exchange, until the day she sells them
- ☐ B With SEBI, in one central locker for all investors
- ☐ C In her own demat account at NSDL or CDSL, in her name
- ☐ D In her broker's own company account, since the broker is her DP

Q4. Kiran Foods Ltd is stuck at its lower price band. Lakhs of shares are waiting to be sold and there are very few buyers. Aman places a sell order at the band price. What is most likely?

- ☐ A It fills at once, since the price is fixed
- ☐ B His order may wait unfilled in the queue
- ☐ C The exchange buys his shares at the band
- ☐ D His broker must buy the shares from him

Q5. Aman made money on 3 out of 3 trades in a week when NIFTY 50 rose about 3%. What is the most reasonable conclusion?

- ☐ A His stock-picking skill has now been proven
- ☐ B He is ready to trade with bigger amounts
- ☐ C Three trades in a rising week prove little
- ☐ D His method should work in falling markets too

Orders, liquidity and the real cost of a trade

Concept: Order types, the order book and costs: the gap between the screen price and your price

AI Lab: Order-type drill: AI sets the scene, you choose the order

Mindset: The urge to act now

Why didn't I get Rs 101?

Monday evening. Aman calls the mentor, upset.
Priya joins the call.



Aman

Sir, at 9:20 this morning an alert said Joshi Pipes Ltd had won a big contract. The screen showed Rs 101, so I bought 300 shares at market. My average came to Rs 102.33. That is Rs 400 extra, in two seconds. Did the app cheat me?



Mentor

One question first. Why a market order, and why in that very second?



Aman

I felt that if I waited even a minute, I would miss it. Honestly, I did not think at all.



Priya

Sir, if he had put a limit order at Rs 101, would he have got all 300 shares at Rs 101?



Mentor

Not all of them. The screen shows the last trade; it does not show how many shares are waiting at that price. Only 100 shares were on offer at Rs 101; the next sellers wanted Rs 102 and Rs 104. A limit order would have got those 100 and left the rest waiting. Nobody cheated you, Aman. You chose speed, and today we will see what speed costs.

The lesson: The screen shows the last trade, not your price. Before you tap Buy, decide what matters more today: speed or price.

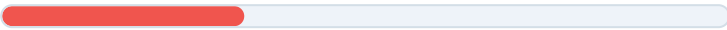
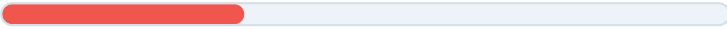
Learn

01 Bid, ask and spread: every share has two prices

The price on your screen is the last traded price (LTP): the price of the most recent deal, not a price anyone is offering you now. At every moment there are two live prices. The bid is the highest price a buyer is ready to pay; the ask, also called the offer, is the lowest price a seller will accept. The gap between them is the spread.

The queue of orders waiting at each price is the market depth, and NSE shows the best five prices on each side. A stock with a narrow spread and a deep queue is called liquid: you can buy or sell without pushing the price much.

Joshi Pipes order book, 9:20

Ask Rs 104		200
Ask Rs 102		100
Ask Rs 101		100
Bid Rs 100		150
Bid Rs 99.50		300
Bid Rs 99		250

Shares waiting at each price: sellers (red) above, buyers (green) below. Spread = Rs 101 - Rs 100 = Rs 1.

EXAMPLE

At the sabzi mandi, the tomato seller asks Rs 40 a kilo and you offer Rs 36. Rs 40 is the ask, Rs 36 is the bid, and the Rs 4 gap is the spread; nothing is sold until one side changes its price. A busy NIFTY 50 company may show a bid of Rs 1,500.00 and an ask of Rs 1,500.10, a spread of just 10 paise. Joshi Pipes Ltd, a small company that trades rarely, shows a bid of Rs 100 and an ask of Rs 101: a Rs 1 spread, about 1% of the price, before your trade has even started.

Remember: The screen shows the last deal. A market buy pays the ask; a market sell gets the bid.

02 Market or limit: speed or price

An order 'fills' when it is matched with an order on the other side and the trade actually happens. A market order says: fill me now, at whatever prices sellers are offering. It is fast, but in a thin order book it can eat through several price levels. A limit order says: fill me only at this price or better, so a limit buy at Rs 101 fills at Rs 101 or lower, never higher. The risk flips: a limit order protects your price but may fill only partly, or not at all; and since an order normally lasts only for that day (a 'day order'), whatever has not filled by the close is cancelled. The gap between the price you expected and the price you actually got is called slippage.

What Aman's market order really cost

	100 shares at Rs 101	Rs 10,100
+	100 shares at Rs 102	Rs 10,200
+	100 shares at Rs 104	Rs 10,400
=	Total paid	Rs 30,700
-	Expected: 300 x Rs 101	Rs 30,300
=	Extra paid (slippage)	Rs 400

He paid Rs 30,700 for 300 shares: about Rs 102.33 each, not Rs 101.

EXAMPLE

Aman's market buy for 300 shares of Joshi Pipes Ltd found only 100 shares on offer at Rs 101, so it also took 100 at Rs 102 and 100 at Rs 104. He paid Rs 30,700, an average of about Rs 102.33, instead of the Rs 30,300 he expected. A limit buy at Rs 101 would have filled 100 shares and left 200 waiting in the queue. In a liquid NIFTY 50 company, the same order would usually have filled at the best ask, or within 10 to 20 paise of it. Some brokers also cap how far a market order may travel; check what yours does.

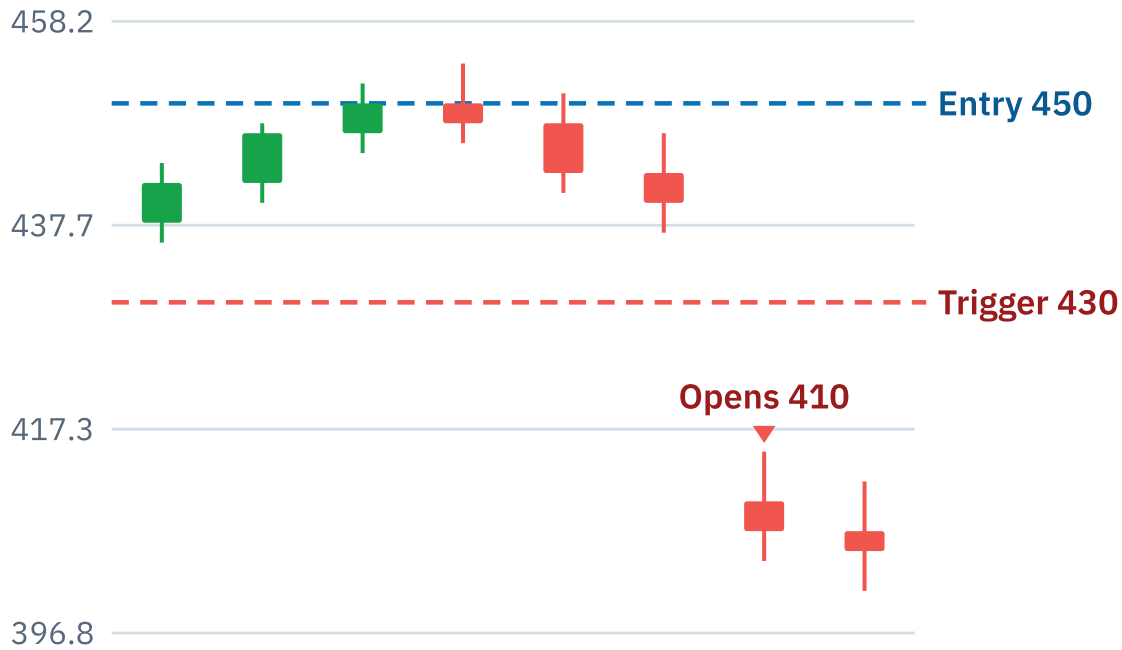
Remember: Market order: you choose speed and accept the price. Limit order: you choose the price and accept the wait, or no fill at all.

03 Stop-loss orders: a trigger, not a promise

A stop-loss is an exit you decide before the trade goes wrong. You place it as a stop-loss order with a trigger price: the order stays asleep until the price reaches or crosses the trigger. It comes in two kinds: an SL order (stop-loss limit) also carries a limit price, so once triggered it sells only at that limit or better; an SL-M order (stop-loss market) has no limit and sells at the next available price. Like other exchange orders, both last only for the day, so for shares you hold overnight you place the stop again each day, or keep it as a broker GTT (next topic). An order placed while the market is shut, in the evening or early morning, is an AMO (after-market order): your broker holds it and sends it when trading opens, and a stop order goes in only at 9:15, because the 9:00-9:15 pre-open does not accept stop orders. Neither kind of stop promises your exit price. Four things can push your real exit below your plan: a gap at the open (the stock opens far below yesterday's close, skipping the prices in between), slippage in a fast fall, a price band (Day 1), or an SL order whose limit price is never reached.

A gap through the stop

ILLUSTRATIVE



Planned exit: Rs 430. The stock opened at Rs 410, already below the trigger. Whether the broker fired the stop or rejected it and Priya sold herself, the exit came near Rs 410, not Rs 430. Each candle is one trading day; Day 5 shows how to read them.

EXAMPLE

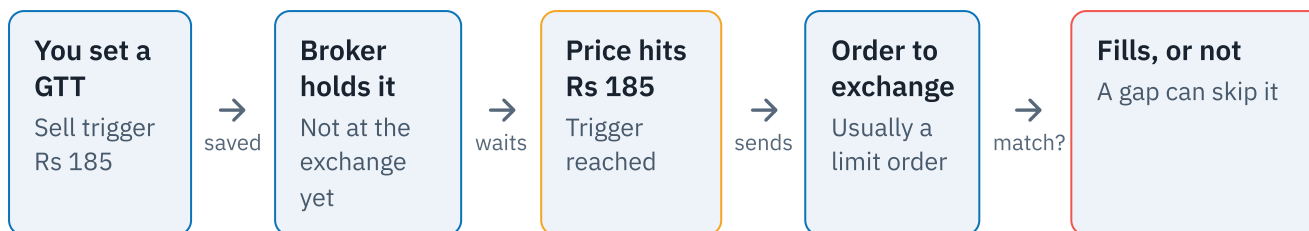
Priya buys 50 shares of Gupta Cement Ltd at Rs 450 for delivery. Her exit is Rs 430, a planned loss of $50 \times \text{Rs } 20 = \text{Rs } 1,000$. Each evening she places an SL-M sell with the trigger at Rs 430 as an AMO. One night bad news comes out, and the pre-open sets the opening price at Rs 410. At 9:15 her stop reaches the exchange with its trigger already above the price. Many brokers reject a sell stop like that, so she has to sell herself; some systems trigger it at once instead. Either way she sells near Rs 410, or lower if the fall goes on: a loss of about $50 \times \text{Rs } 40 = \text{Rs } 2,000$, twice her plan. Had she used an SL order with the trigger at Rs 430 and the limit at Rs 428, it could never sell below Rs 428, so nothing would sell and she would still be holding as the price kept falling. Rules on stops differ by broker, and some do not offer SL-M for every kind of trade; check yours.

Remember: A stop-loss decides when your exit order goes in. On a gap day, the market decides the price.

04 Delivery or intraday, and orders that wait

Every buy carries a product tag. Delivery (often shown as CNC) means you keep the shares; they reach your demat on T+1 and stay until you sell. Intraday (often shown as MIS) means the position must be closed the same day. If you do not close it, your broker does it for you at a cut-off time it sets near the end of the day; this is called auto square-off, and every broker's cut-off is different, so check yours. GTT (Good Till Triggered) is different: it is a facility your broker offers, not an exchange order type. The broker holds your instruction, often for months, and sends an order to the exchange only when the price hits your trigger, and even that order can miss. That is why many people keep the stop for shares they hold as a GTT, instead of placing it again every day.

The life of a GTT



Validity and rules differ by broker. Check yours before you rely on a GTT.

EXAMPLE

Aman buys 40 shares of Sharma Textiles Ltd at Rs 250 as intraday, a Rs 10,000 position, and then gets stuck in a long office meeting. He never sells. Near the close, his broker's system sells all 40 shares at whatever the price is then, and some brokers add a fee for doing it. Had he tagged the buy as delivery, the shares would simply have reached his demat on T+1. Priya, meanwhile, holds Kiran Foods Ltd shares she bought at Rs 200 for delivery, and has set a GTT to sell them if the price falls to Rs 185, her stop; until that happens, the instruction sits with her broker, not on the exchange.

Remember: Intraday ends today, whether you close it or your broker does. A GTT waits at your broker, not at the exchange.

05 Costs, the contract note and tax heads

Besides the share price, every trade carries charges. The main ones are brokerage (your broker's fee), STT (Securities Transaction Tax, a tax the government charges on share trades), exchange transaction charges, SEBI fees, GST and stamp duty; some apply on both the buy and the sell, others on only one side. Brokerage differs from broker to broker; the other charges are set by the government, SEBI or the exchange and change from time to time, so this course never prints any rate. Your contract note, the official record your broker sends within a day of every trade, lists each charge in rupees and ends with the net amount: what you pay on a buy, or receive on a sell, after all charges. The contract-note reader in today's task names every line and its side. A few costs, such as depository (DP) charges when you sell delivery shares, show up in your broker's account statement instead. Tax on your gains is a separate matter: the tax head (the category your income falls under) depends on the kind of trade, as the chart shows.

Tax heads: concepts only

Delivery

- Gains = capital gains
- Short or long term, by holding period

Intraday

- Speculative business income
- Its losses have their own rules

F&O

- F&O = futures and options (Day 18)
- Business income
- Stage 1 does not trade F&O

No rates here, on purpose. File your return on time so losses can be carried forward (set against certain gains in later years), and ask a CA for the current rules.

EXAMPLE

Remember Aman's 20 shares of Sharma Textiles Ltd from Day 1's story, bought at Rs 250 (Rs 5,000)? He later sells them at Rs 254.50 (Rs 5,090). On screen, he made Rs 90. But his buy note's net amount is Rs 5,000 plus the buy-side charges, and his sell note's net amount is Rs 5,090 minus the sell-side charges. His real profit is the gap between those two net amounts, less the DP charge in his account statement. On a small trade, charges can take a big bite, and a trader who does ten buy-and-sell round trips a day pays charges on twenty orders. Keep every contract note: you will need them when you file your income tax return.

Remember: Your real profit is what your contract notes and account statement show, not what the screen showed.

06 The urge to act now

Prices move every second, and a racing price makes the mind feel that waiting means losing. That feeling is the urge to act now: tapping Buy because something is moving, not because you have a plan. It leads straight into today's traps: a market order in a thin stock, no stop-loss, the wrong product tag, charges you never counted. The cure is not to be slow at everything. It is a short, fixed pause before every order, including your paper trades from Day 12. Our pause is twenty seconds and five questions: order type, price, exit, product and cost.

The 20-second pause

- 1 Order type?**
Market, limit, SL or SL-M
- 2 Price?**
Bid, ask and spread checked
- 3 Exit?**
Stop trigger set before entry
- 4 Product?**
Delivery or intraday
- 5 Cost?**
Charges counted, not ignored

Answer all five before every order, even on paper.

EXAMPLE

A Diwali flash sale shows a timer: 'Only 10 minutes left'. The timer is there to stop you checking prices elsewhere. On a trading app, a news alert and a big green candle do the same job. Aman's two-second rush cost him Rs 400 in slippage. Twenty seconds spent reading the order book would have shown him the thin queue before he tapped.

Remember: If you cannot answer the five questions, you are not ready to tap.

Words from today

Bid, ask and spread

Bid: the highest price a buyer will pay right now.
Ask: the lowest price a seller will accept. Spread: the gap between the two.

Limit order

An order that fills only at your price or better. It protects the price but may fill partly or not at all.

Trigger price

The price that wakes up an SL, SL-M or GTT.
Reaching it releases your order into the market; it does not fix your exit price.

AMO (after-market order)

An order placed while the market is closed. Your broker holds it and sends it when trading opens; a stop order goes in only at 9:15, since the pre-open does not accept stops. AMO hours differ by broker.

Slippage

The gap between the price you expected and the price you actually got.

GTT (Good Till Triggered)

A broker facility, not an exchange order type. The broker holds your instruction and sends an order only when the trigger is hit.

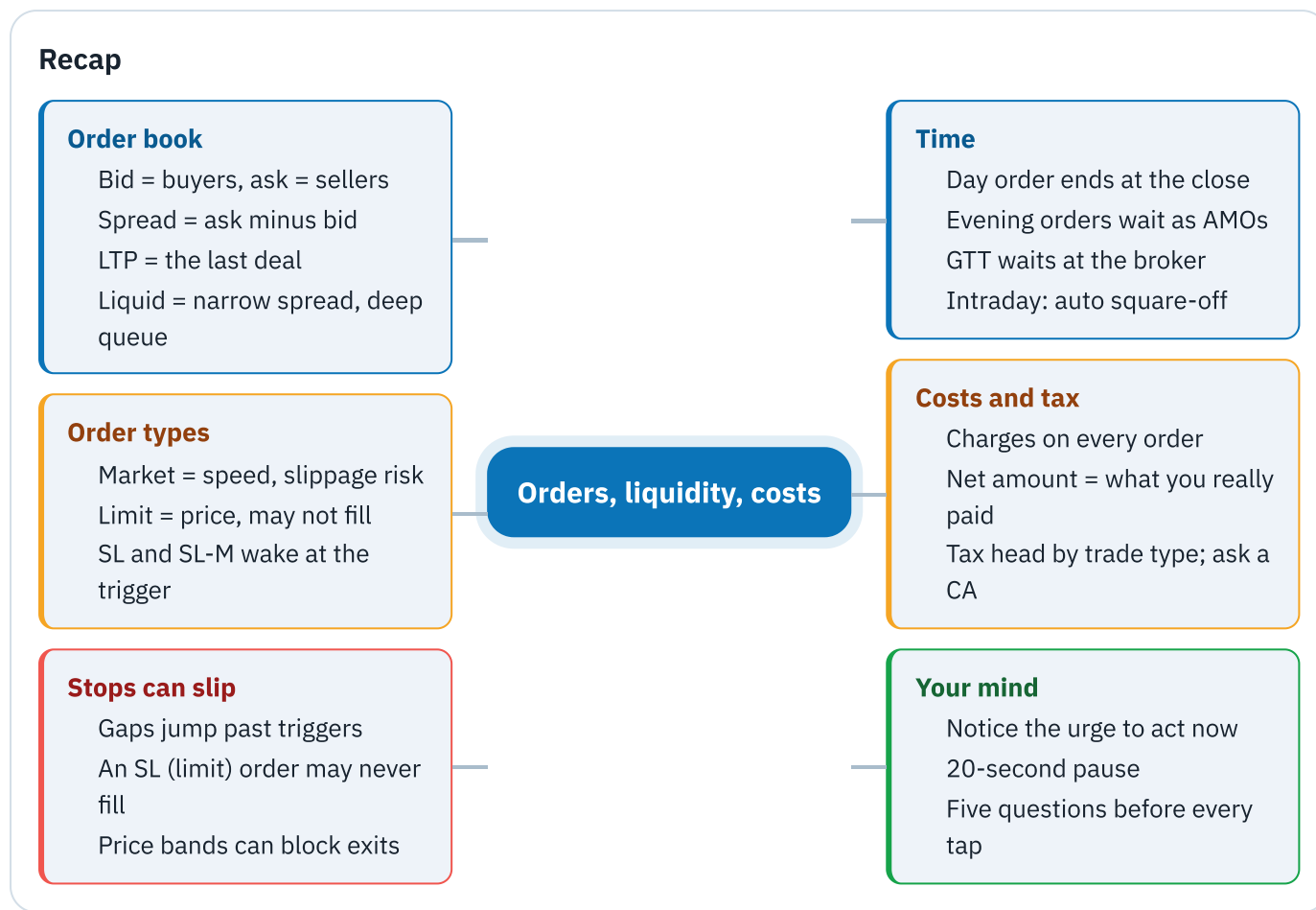
Contract note

The official record of your trades that your broker sends within a day, with every charge in rupees.

Net amount

The bottom line of a contract note: the trade value plus all charges on a buy (what you pay), or minus them on a sell (what you receive).

Recap map



Today's task

45 min

Read an order book (live on the NSE website, or the practice one if the market is closed), work out a market order's slippage in a sheet, label a contract note line by line, and write your own five-question pause card.

- ☐ During continuous trading (9:15 am to 3:15 pm on a trading day; NIFTY 50 companies have F&O contracts, so after 3:15 they are in the closing auction), open any NIFTY 50 company's quote page on nseindia.com and note its best bid, best ask and spread. Market closed, or at work? Use the Anand Snacks Ltd prices in the practice order book's note. You are only reading, not choosing a stock to buy.
- ☐ Do the same for one company from the NIFTY Smallcap 250 list (an index of smaller companies), or use Mehta Solar Ltd in the practice order book. Work out each spread as a % of the price ($\text{spread} \div \text{ask} \times 100$) and note which stock looks more liquid. Practice check: about 0.02% against 1.5%.
- ☐ In Google Sheets, work out the average price of a 1,000-share market buy of Mehta Solar Ltd from the practice order book. Only the ask side matters for a buy: $= (300 \times 80 + 400 \times 80.4 + 300 \times 80.9) / 1000$. You should get Rs 80.43, which is Rs 430 of slippage against $1,000 \times \text{Rs } 80$.
- ☐ Fill the last column of the contract-note reader: copy each line's rupee amount from one of your own contract notes if you have a broker account. No account? Run the AI Lab prompt 'Read a contract note (sample)' and copy its sample instead: the trade value ($10 \times \text{Rs } 450 = \text{Rs } 4,500$) and 'X' for each charge. Then tick every line where the AI's buy/sell side matches the 'Buy, sell or both' column. Never paste a real contract note into an AI.

- ☐ Copy the five-question pause card onto paper or into your phone's notes, answer it once for a made-up paper order, and keep it where you will see it before every order.
- ☐ Run the AI Lab prompt 'Order-type drill' and answer at least five scenarios. Mark every rule the AI says varies by broker as 'Not sure' until you check it yourself.

YOUR TEMPLATE

Practice order book: Mehta Solar Ltd, 11:05 am

Made-up numbers, laid out like the depth table on an NSE quote page: buyers on the left, sellers on the right, best prices in the top row. For the liquid comparison, Anand Snacks Ltd at the same minute: best bid Rs 612.40, best ask Rs 612.55.

Bid qty	Bid (Rs)	Ask (Rs)	Ask qty
1,200	78.80	80.00	300
2,500	78.60	80.40	400
900	78.40	80.90	300
3,000	78.10	81.50	600
1,500	77.80	82.00	1,000
Total 9,100			Total 2,600

Contract-note reader

No rates here, on purpose: brokerage differs by broker and the other charges change. DP charges for selling delivery shares appear in your account statement, not here. Before showing a note to anyone, hide your name, PAN and client ID.

Line	What it is	Buy, sell or both	On your note (Rs)
Trade details	Order and trade number, time, quantity and price of each fill	Both	
Trade value	Quantity x price	Both	
Brokerage	Your broker's fee; differs by broker	Both	
Exchange transaction charges	The exchange's fee for the trade	Both	
STT	Securities Transaction Tax, collected for the government	Delivery: both; intraday: sell only	
SEBI fees	The regulator's small turnover fee	Both	

Line	What it is	Buy, sell or both	On your note (Rs)
GST	Tax on the brokerage, exchange charges and SEBI fees	Both	
Stamp duty	A duty charged to the buyer	Buy only	
Net amount	Buy: value plus charges (you pay). Sell: value minus charges (you get)	Both	

Five-question pause card

Priya's column is a model for a paper order of 50 Gupta Cement Ltd shares. Fill your own column before every order; if any answer is blank, do not tap.

Question	Priya's answer	My answer
Order type?	Limit buy at Rs 450.10	
Price?	Bid 449.80, ask 450.10: spread Rs 0.30, narrow	
Exit?	SL-M trigger Rs 430, set before entry: about Rs 1,005 at risk, more on a gap	
Product?	Delivery (CNC): she plans to hold for days	
Cost?	Charges read from a sample contract note, not guessed	

OUTCOME

By the end you can read bid, ask, spread and depth, even from a practice order book; choose between market, limit, SL and SL-M orders knowing what each can cost you; explain why a stop-loss is not a promise and what happens to a stop placed as an AMO; tell delivery from intraday and a GTT from an exchange order; and read a contract note line by line, down to the net amount.

TOOLS

- NSE website (nseindia.com)
- Google Sheets
- Your own contract note, or the AI Lab sample
- Paper or phone notes
- Any AI chat

WITH YOUR BATCH

Mandi order-book game (2 or more people): the 'sellers' write three slips, each with a price and a number of onion bags (2 to 4); the 'buyers' write three bid slips the same way. Line the slips up like an order book, sellers on top. A 'market buy' for 5 bags takes the cheapest seller slips first: work out the average price paid. Then try again with a limit price and see how many bags you get.

Studying on your own? Do it yourself and note what you found in your journal.

Note: Educational content only, not investment advice. Stage 1 uses virtual money only. Charge and tax rates are never printed: read your own contract note and ask a CA. 5 Circles Pvt Ltd · SEBI Registered Research Analyst · Reg. No. INH000020004

AI Lab

AI is the analyst; you pull the trigger. Run a prompt in any AI tool, then sort its answer into Fact, Guess and Kachra (junk).

Order-type drill

You are a patient teacher of Indian stock-market order types, talking to a complete beginner. Give me 8 short scenarios, one at a time, using only made-up company names (for example 'Bharat Pumps Ltd') and made-up prices. In each, I must choose a market order, a limit order, an SL (stop-loss limit) order, an SL-M order or a broker GTT, and say whether the trade should be delivery or intraday. Include at least one scenario where I place the order in the evening as an AMO (after-market order), and one where the stock opens with a gap past my stop. Use only the equity cash segment (delivery or intraday shares); no futures or options scenarios. After each answer, tell me whether my choice fits the situation, what could go wrong (slippage, a partial fill, no fill, a gap past the trigger, a rejected stop, auto square-off) and why. Label every rule you state as Checkable (on the NSE, BSE or SEBI website) or Not sure (it varies by broker or may have changed). Do not recommend any real stock, do not give buy or sell advice, and do not mention targets or expected returns.

Read a contract note (sample)

Explain, line by line, what an Indian equity contract note contains, in this order: trade details, trade value, brokerage, exchange transaction charges, STT, SEBI fees, GST, stamp duty and the net amount. Build a sample for a made-up delivery trade of 10 shares of 'Gupta Cement Ltd' bought at Rs 450, but write every charge as 'X' instead of a number, because brokerage differs by broker and the other rates change over time. For each line, say whether it applies on the buy side, the sell side or both, and label that statement Checkable or Not sure. Then list three things I should check in my own contract note. Do not ask me to paste a real contract note or any personal details, do not state any tax or charge rate, and do not give buy or sell advice, targets or return expectations.

Urge-to-act check

Act as a calm trading-psychology coach. Ask me 6 short questions, one at a time, about how I behave when a price is moving fast: news alerts, big green candles, 'only today' offers, fear of missing out, and times I bought something in a hurry and regretted it. After my answers, tell me in plain words when my urge to act now is strongest, and help me write a five-question pause card I will answer before any order: order type, price, exit, product and cost. Do not ask for personal or financial details, do not suggest any stock or strategy, and do not give buy or sell advice, targets or return expectations.

The same prompts are in this day's AI Lab tab in the app, with a Copy button. Never paste your PAN, client ID, passwords, OTPs or contract notes into any AI.

Journal

Recall one time you bought something in a hurry, in a sale, at a station stall or online, and later found you had paid more than you needed. What made you rush? Which of today's five pause questions would have slowed you down?

Write your answer here, then save it in the app's Journal tab.

Every tap on Buy hides three choices: how fast, at what price, and at what cost. Making them on purpose, one order at a time, is where discipline begins.

Quiz

Tick your answers here, then submit the quiz in the app: only the app attempt counts.

Q1. The order book of Kiran Foods Ltd shows a best bid of Rs 199.80 and a best ask of Rs 200.20. The last traded price is Rs 200.00. You place a small market buy. What is the spread, and near which price will you most likely buy?

- ☐ A Spread Rs 0.40; you buy near Rs 199.80
- ☐ B Spread Rs 0.40; you buy near Rs 200.20
- ☐ C Spread Rs 0.20; you buy at the LTP, Rs 200.00
- ☐ D No spread; you buy at exactly Rs 200.00

Q2. Joshi Pipes Ltd is trading at Rs 100. Priya places a limit buy at Rs 98. During the day the price dips to Rs 99, then climbs to Rs 110. What happens to her order?

- ☐ A It fills at Rs 110 once the price starts rising
- ☐ B It fills at Rs 98, since a limit fixes the price
- ☐ C It fills at Rs 99, the day's low
- ☐ D It does not fill; Rs 98 was never reached

Q3. Priya holds 40 shares of Sharma Textiles Ltd, bought at Rs 260. Every evening she places an SL-M sell with the trigger at Rs 245 as an AMO. One night bad news comes out, and the stock opens at Rs 230. What is her loss most likely to be?

- ☐ A About Rs 900: the order sells halfway down, at Rs 237.50
- ☐ B About Rs 1,200: her exit comes near the Rs 230 open, not Rs 245
- ☐ C Nothing yet: the stop waits for the price to return to Rs 245
- ☐ D Exactly Rs 600: a stop always sells at its Rs 245 trigger

Q4. Aman sets a GTT on his broker app to buy Joshi Pipes Ltd if the price hits Rs 95. Which statement about this GTT is correct?

- ☐ A Like a day order, it is cancelled at the close the same day
- ☐ B It sits in the exchange order book from the moment he sets it
- ☐ C His broker holds it and sends an order only at the trigger
- ☐ D Once triggered, it always fills at exactly Rs 95, even on a gap

Q5. Aman buys 30 shares of Kiran Foods Ltd tagged as intraday (MIS). At 1:00 pm he still holds them and closes the app for the rest of the day. What most likely happens?

- ☐ A The position carries over to the next trading day
- ☐ B The shares reach his demat account on T+1
- ☐ C The exchange cancels the trade and refunds his money
- ☐ D His broker squares them off before the close

Trader vs gambler: the maths most beginners skip

Concept: Expectancy, R-multiples, the breakeven win-rate and drawdown

AI Lab: Streak simulator: let a sheet show you luck

Mindset: The lure of tips (tips ka lalach)

Seven out of eight

Tuesday, 8 pm. Aman joins the call with Priya and the mentor, phone already in hand.



Tip-wala

Last week 7 out of 8 calls hit target. Sure-shot calls every morning at 9:10. Join Premium for just Rs 4,999. Only 20 seats left.



Aman

Sir, look at this. Seven out of eight! If I just copy his calls, won't the Rs 4,999 come back in a week?



Priya

Aman, what happened on the eighth call? He tells us how often he was right, not how much the wrong one cost.



Mentor

Good question, Priya. Suppose each of the seven winning calls made Rs 1,000 and the one losing call lost Rs 8,000. Aman, how did that week end?



Aman

Seven thousand in, eight thousand out... Seven wins, and I am still Rs 1,000 down. Plus the fee.

The lesson: 'How often' is only half the story. Before you trust any win-rate, ask 'how much'.

Learn

01 Trader or gambler: the difference is maths

A trader and a gambler both put money on a result nobody knows in advance; the difference is maths. A gambler bets on a feeling and never knows what an average bet makes or loses. A trader follows written rules, records every win and loss, and keeps each loss small enough to survive the next one. F&O means futures and options; we study them only on Day 18, and Stage 1 places no F&O trades: samjho, khelo mat. Separately, one official number is worth knowing now: SEBI FY26 study (Aug 2026): 87.7% of individual F&O traders were in net loss, aggregate Rs 91,685 crore, average Rs 1.17 lakh per loss-making trader. The study reports outcomes; it does not say why each trader lost.

Same uncertainty, two approaches

Gambler

- Bets on a feeling or a tip
- Remembers only the wins
- Bet size changes with mood
- One bad night can end it

Trader

- Follows written rules
- Records every win and loss
- Keeps each loss small
- Judges after 30+ trades

Both face the same market. Only one knows the numbers of the game.

EXAMPLE

Think of a family card game. Ramesh uncle wins 6 hands out of 10 and tells everyone he is in form. But his wins are small, about Rs 200 a hand, because he settles for a small win the moment he is ahead, and his losses are big, about Rs 500 a hand, because he keeps raising his bet even on weak cards. Six wins bring in Rs 1,200; four losses cost Rs 2,000. He goes home Rs 800 poorer, still talking about his form. A trader would have written the numbers down and seen the problem on the first night.

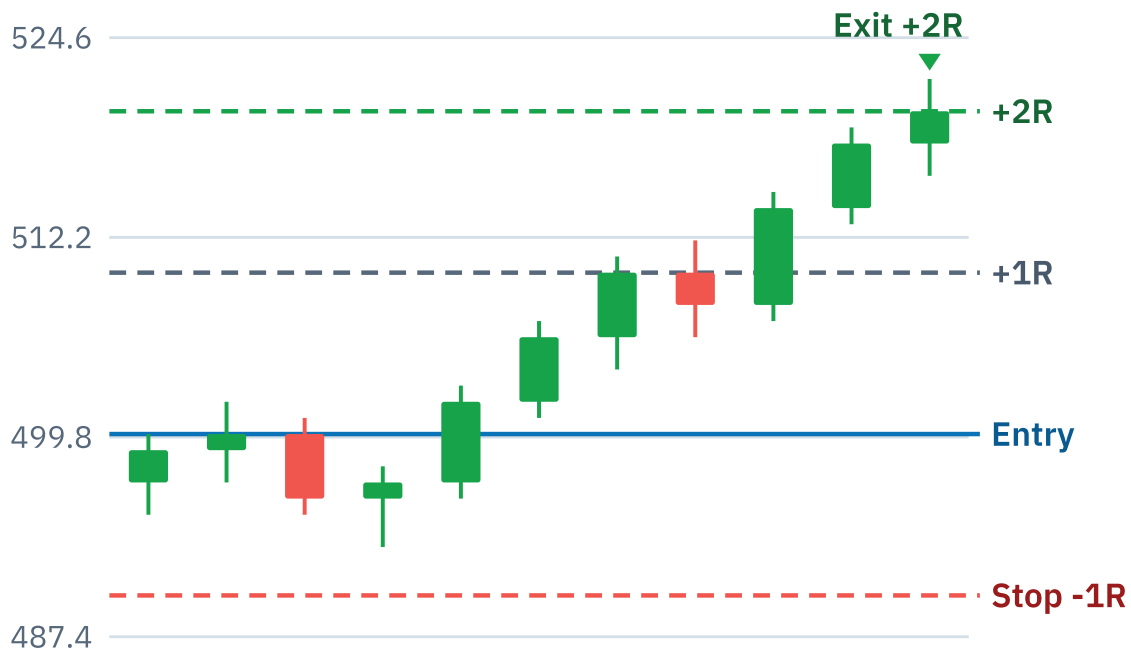
Remember: A gambler counts wins. A trader counts wins, losses and the size of each.

02 R: one ruler for every trade

Before a trade, a trader decides the price at which the idea is proved wrong and places a stop-loss there (Day 2). The money you lose if that stop is hit is your planned risk, called 1R: the distance to the stop multiplied by the number of shares. Every result is then counted in R: a gain of twice your planned risk is +2R, and a trade that hits its stop is -1R. R puts a trade risking Rs 500 and one risking Rs 5,000 on the same scale, and '-1R, as planned' is easier to accept than 'I lost Rs 5,000'. From Day 12, when paper trading starts, your journal records every trade in R.

The R ruler on a chart

ILLUSTRATIVE



Entry Rs 500, stop Rs 490, 40 shares, so $1R = \text{Rs } 400$. The exit at Rs 520 made Rs 800: $+2R$. The dip to Rs 493 stayed above the stop.

EXAMPLE

Priya works through a practice example in Gupta Cement Ltd: 40 shares at Rs 500, stop at Rs 490. Planned risk = $\text{Rs } 10 \times 40 = \text{Rs } 400$, so $1R = \text{Rs } 400$. If she exits at Rs 520, she gains $\text{Rs } 20 \times 40 = \text{Rs } 800$, which is $+2R$. An exit at Rs 505 makes Rs 200, or $+0.5R$, and if the stop is hit she loses Rs 400, or $-1R$. But if bad news makes the share open at Rs 484, below her stop, the loss is $\text{Rs } 16 \times 40 = \text{Rs } 640$, or $-1.6R$. A stop is your planned exit; it does not promise the exit price.

Remember: $1R$ = the rupees you lose if your stop is hit: distance to the stop $\times$ quantity.

03 Expectancy: what one trade is worth on average

Win-rate is how often you win; payoff is how big your average win is compared with your average loss, say $+1.5R$ against $-1R$. Expectancy joins the two into one number, the average result per trade over many trades: $(\text{win-rate} \times \text{average win}) - (\text{loss-rate} \times \text{average loss})$, where $\text{loss-rate} = 1 - \text{win-rate}$, and the average loss is written without its minus sign ($1R$, not $-1R$). A positive expectancy after costs is what traders call an edge. Costs such as brokerage, taxes and slippage (Day 2) come off every trade, so take the charges from your own contract note, add the slippage you saw, and count it all in R . Trust the number only after enough trades: at least 30 to judge a rule, and 100 for confidence.

Expectancy of one rule over 100 trades

55 wins x 1.5R	82.5R
- 45 losses x 1R	45R
- Costs: 100 trades x 0.1R	10R
= Net over 100 trades	27.5R
÷ Number of trades	100
= Expectancy per trade	+0.275R

Illustrative numbers. Take your real costs from your own contract note.

EXAMPLE

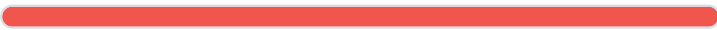
A rule is tested on 100 past trades: 55 winners averaging +1.5R and 45 losers at -1R. The wins add $55 \times 1.5 = 82.5R$ and the losses take away 45R. Say costs come to about 0.1R a trade, another 10R in all. That leaves 27.5R over 100 trades, or +0.275R per trade on average. Think of a chai stall: one cup's margin tells you nothing, but a month of cups, minus the day the kettle broke, tells you whether the stall works.

Remember: Edge = positive expectancy, after costs, over many trades. Not a feeling, and not one good week.

04 The breakeven win-rate: judge any accuracy claim

Breakeven means you neither make nor lose money. Every payoff needs a minimum win-rate to break even, and below it the method loses money even before costs. We write payoffs as risk : reward, so 1:2 means an average win of 2R for an average loss of 1R. The breakeven win-rate is $1 \div (1 + \text{reward per 1R of risk})$: at 1:1 you must win 50% of trades, at 1:1.5 you need 40%, and at 1:2 about 33%. So a low win-rate can make money and a high one can still lose. When someone boasts about accuracy, ask one thing: how big is the average win compared with the average loss?

Win-rate needed to break even

1 : 0.2		83%
1 : 0.5		67%
1 : 1		50%
1 : 1.5		40%
1 : 2		33%
1 : 3		25%

Labels are risk : reward. These are before costs; adding costs pushes each number a little higher.

EXAMPLE

A channel boasts '8 out of 10 calls right'. Its winners are booked quickly at about +0.2R, but its losers run to -1R. Breakeven for 1:0.2 is $1 \div 1.2$, about 83%, so 80% accuracy still loses: $0.8 \times 0.2 - 0.2 \times 1 = -0.04R$ per trade, before costs. Priya's plan wins only 4 trades in 10, but her average win is +2R. Breakeven for 1:2 is 33%, and her expectancy is $0.4 \times 2 - 0.6 \times 1 = +0.2R$ per trade.

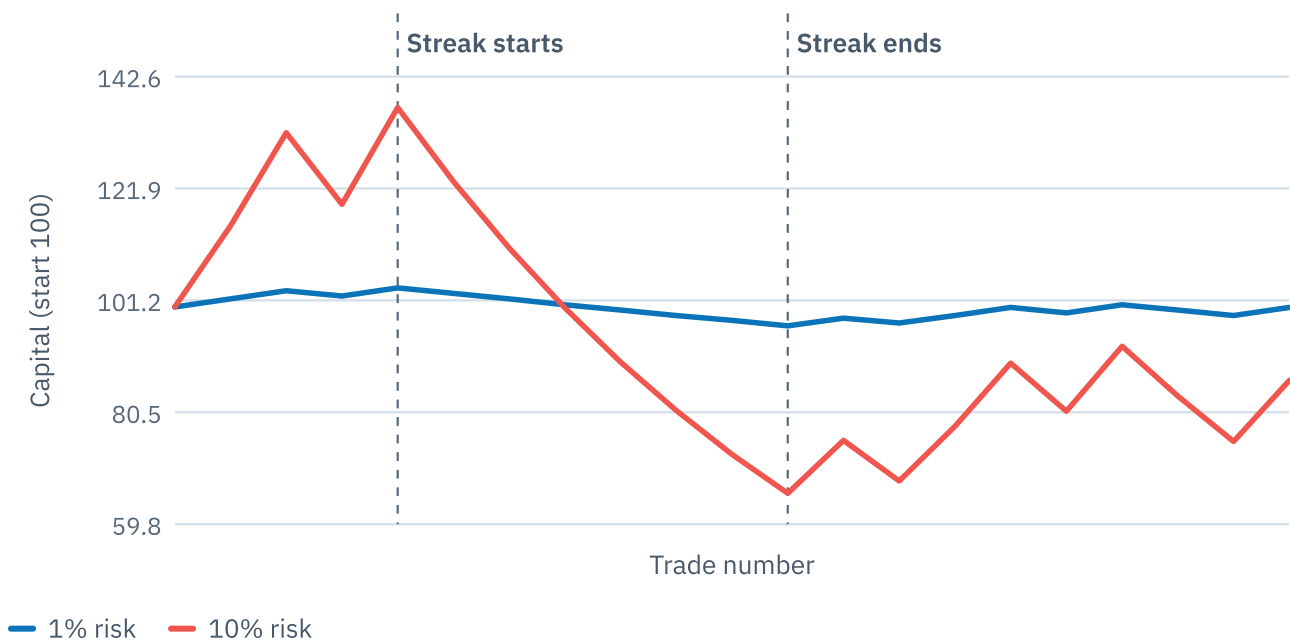
Remember: Never judge a win-rate alone. Ask for the average win and the average loss.

05 Losing streaks, drawdown and the long climb back

Even a good method loses several times in a row: at a 55% win-rate, the chance of at least one run of 5 losses in 100 trades is about 65%, and of 7 losses about 18%. Drawdown is how far your capital falls from its last high before it makes a new one. Risk of ruin is the chance that losses become so deep that you cannot, or will not, carry on. Bet size drives it, because bet size sets how deep a normal streak cuts: after 7 losses in a row, 1% risk a trade leaves you 6.8% down, 2% leaves 13.2%, 5% leaves 30.2% and 10% leaves 52.2%. The climb back is always steeper than the fall: -10% needs +11.1% to recover, -25% needs +33.3%, and -50% needs +100%. That is why this course risks 1% a trade (Day 9), stops for the day at -2R and pauses to review after -5R in a week: a streak should be a dent, never the end of the game.

Same trades, different bet size

ILLUSTRATIVE



Illustrative 20 trades (8 wins, 12 losses, 7 in a row), adding up to 0R. From its high, the 10% account fell 52%, the 1% account about 7%. Even at 0R, the 10% account ends 14% down.

EXAMPLE

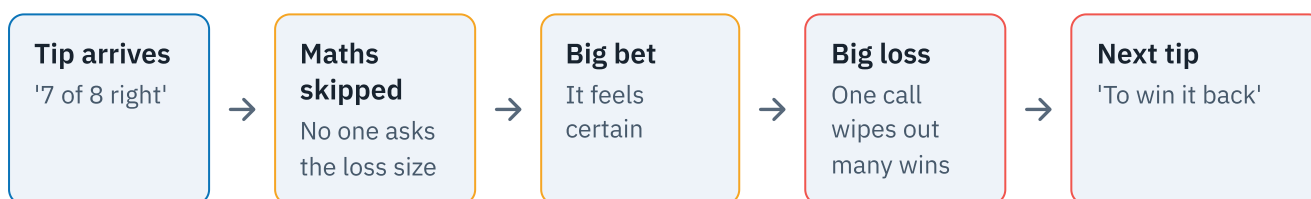
Aman and Priya follow the same 20 practice trades: each win +1.5R, each loss -1R, with 7 losses in a row in the middle. Priya risks 1% of her capital on each trade, Aman 10%. After the streak Priya is about 7% below her peak, because seven 0.99s multiplied together leave 0.932. Aman is about 52% below his, because seven 0.9s multiplied together leave 0.478. To get back to his peak he now needs a gain of about 109%. Same trades, same luck; only the bet size was different.

Remember: Losing streaks are part of the maths. Size your bets so you are still standing after one.

06 The lure of tips: why a tip feels so good

Lalach means greed, but a tip pulls on more than greed. It offers certainty in an uncertain market, it saves you the hard work of learning, it gives you someone else to blame, and a busy group makes you feel you belong. Tip sellers know this, so they shout about wins and stay quiet about the size of the losses, the total number of calls and the costs. Your defence is today's maths: before trusting any claim, ask for every call, the average win and the average loss in R, and the period covered. On Day 7 you will audit a practice set of 20 'tips' and learn how to check a SEBI registration.

The lalach loop



The next tip starts the loop again. Break it at box 2: do the maths before the money.

EXAMPLE

Back to the story: suppose seven winning calls made Rs 1,000 each and one losing call cost Rs 8,000. Aman saw '7 out of 8'. Priya asked what the eighth call cost, and once the mentor put numbers on it, the week was Rs 1,000 down, or Rs 5,999 down after the Rs 4,999 fee. Same message, two questions: 'how often?' and 'how much?'

Remember: A tip sells certainty. Your defence is one sentence: show me the losses too.

Words from today

R (R-multiple)

1R is the rupees you lose if your stop is hit. Every result is counted in R: winning twice that risk is +2R.

Win-rate and payoff

Win-rate: how often you win. Payoff: how big the average win is compared with the average loss.

Expectancy

The average result per trade over many trades:
(win-rate x average win) - (loss-rate x average loss)
- costs per trade, with the average loss written without its minus sign (1R, not -1R). Positive after costs means an edge.

Edge

A positive expectancy after costs, shown over enough trades: 30 to judge a rule, 100 for confidence. A hunch, or one good week, is not an edge.

Breakeven win-rate

The lowest win-rate at which a payoff stops losing money, before costs: $1 \div (1 + \text{reward per } 1R)$. At 1:2 it is about 33%.

Drawdown

How far your capital falls from its last high before it makes a new high.

Risk of ruin

The chance that losses grow so deep that you cannot, or will not, carry on. Bet size drives it: 7 losses in a row cost 6.8% of capital at 1% risk a trade, but 52.2% at 10%.

Loss recovery (the climb back)

The gain you need to get back to your old high after a fall. It is always bigger than the fall, because it is earned on what is left: -10% needs +11.1%, -25% needs +33.3%, -50% needs +100%.

Recap map

Recap

R ruler

1R = loss if the stop hits
Stop distance x quantity
A gap can cost more than 1R

Expectancy

Win% x avg win - loss% x avg loss (1R, not -1R)
Subtract costs in R
30 to judge, 100 for confidence

Breakeven

$1 \div (1 + \text{reward per } 1R)$
1:1 = 50%, 1:1.5 = 40%, 1:2 = 33%
High accuracy can still lose

Trader vs gambler: the maths

Streaks and drawdown

5 losses in a row are common
7 losses: -6.8% at 1%, -52% at 10%
-50% needs +100%
Day 9: -2R day stop, -5R pause

The lure of tips

Tips sell certainty
Ask: show me the losses
Day 7: audit 20 practice tips

One official number

SEBI FY26 study (Aug 2026)
Reports outcomes, not reasons
F&O = samjho, khelo mat

Today's task

25 min

Do the maths yourself: build a 10-trade expectancy sheet, test one accuracy claim and see what a losing streak does (25 minutes core, plus an optional 20-minute stretch).

- ☐ Open a new Google Sheet and type these 10 practice results, in R, into cells A1 to A10: 2, -1, -1, 1.5, -1, 2, -1, -1, 3, -1.
- ☐ In cell B1 type =AVERAGE(A1:A10). This is the expectancy per trade, before costs; check that it shows 0.25, that is +0.25R.
- ☐ In cell B2 type =COUNTIF(A1:A10,">0")/10 for the win-rate; it shows 0.4, that is 40%. Just 4 wins in 10 still gave a positive expectancy, but 10 trades are far too few to judge a real rule.
- ☐ On your phone calculator, work out the breakeven win-rate for a 1:0.5 payoff ($1 \div 1.5$) and write in your notebook whether a '60% accuracy' claim with that payoff clears it (check: about 67%, so 60% does not clear it).
- ☐ On the calculator, multiply $0.9 \times 0.9 \times \dots$ until 0.9 appears seven times, then do the same with 0.99, and write how much of Rs 10,00,000 is left after 7 straight losses at 10% risk and at 1% risk; check both against the Streak damage card under 'Your template' (about Rs 4.78 lakh and Rs 9.32 lakh).
- ☐ Stretch, optional (about 20 more minutes; easier on a laptop): build the 100-trade streak simulator in Google Sheets from the layout under 'Your template', then write down the longest losing streak and the deepest drawdown it shows. Stuck on a formula? The AI Lab prompt 'Streak simulator' explains each one.

YOUR TEMPLATE

Your 10-trade expectancy sheet

A1-A10, B1 and B2 come from today's steps; B3, B4 and column C are optional extras. Then change one number in column A and watch B1 and B2 move.

Cell	Type this	It should show
A1 to A10	2, -1, -1, 1.5, -1, 2, -1, -1, 3, -1	One practice result per cell, in R
B1	=AVERAGE(A1:A10)	0.25: expectancy +0.25R a trade, before costs
B2	=COUNTIF(A1:A10,">0")/10	0.4: a 40% win-rate
B3	=SUM(A1:A10)	2.5: total +2.5R over 10 trades
B4	=B1-0.1	0.15: still positive after about 0.1R of costs a trade
C1 to C10	=SUM(\$A\$1:A1)	Optional: type it in C1 and copy it down. Running total 2, 1, 0, 1.5, 0.5, 2.5, 1.5, 0.5, 3.5, 2.5: it falls 2R from a high twice, even in a winning sheet.

Ten trades are far too few to judge a rule: 30 to judge, 100 for confidence.

Streak damage card: 7 losses in a row

Virtual Rs 10,00,000; each loss takes the risk % of what is left. For any other risk % that tempts you, fill a blank row: multiply (1 - risk) by itself seven times, then by the capital (3% leaves about Rs 8.08 lakh).

Risk per trade	Left after 7 losses	Fall from the high	Gain to get back
1%	Rs 9,32,065	-6.8%	+7.3%
2%	Rs 8,68,126	-13.2%	+15.2%
5%	Rs 6,98,337	-30.2%	+43.2%
10%	Rs 4,78,297	-52.2%	+109.1%

The house rule is the first row: 1% a trade, with a day stop at -2R and a pause at -5R in a week.

Streak simulator: build it without AI

Build it in a new tab (the + at the bottom left), so your 10-trade sheet stays safe. Type the inputs, row 1 and the row-2 formulas (A2 to F2), then select A2:F2 and drag it down to row 101. Every edit re-rolls RAND(): to freeze one run, copy column B and paste values only, then set H3 to 0.1 to see 10% risk on the same trades.

Cell	What it holds	Type this
H1	Win-rate: 55%	0.55
H2	Average win, in R	1.5
H3	Risk per trade: 1%	0.01
C1, D1	Start capital, and the first high	100
E1, F1	Start: no drawdown, no streak	0
A2	Trade number	=ROW()-1
B2	Result: +1.5R win or -1R loss	=IF(RAND()<\$H\$1,\$H\$2,-1)
C2	Capital after this trade	=C1*(1+\$H\$3*B2)
D2	Highest capital so far	=MAX(D1,C2)
E2	Drawdown from that high	=C2/D2-1
F2	Current losing streak	=IF(B2<0,F1+1,0)
H5	Longest losing streak	=MAX(F2:F101)

Cell	What it holds	Type this
H6	Deepest drawdown	=MIN(E2:E101)

Format column E and H6 as %. Made-up numbers: real markets rarely hand you so clean an edge, so judge each run by its deepest drawdown, not its final capital.

OUTCOME

By the end you can measure any trade in R, work out a method's expectancy and breakeven win-rate, explain why losing streaks and drawdowns must be survivable, and question any accuracy claim before it tempts you.

TOOLS

- Google Sheets
- Phone calculator
- Notebook or journal
- Any AI chat

WITH YOUR BATCH

Coin-flip survival: everyone starts with 100 chips. Heads wins 1.5 times the bet, tails loses the bet. Half the group bets 2 chips a flip, half bets 20; a 20-chip player left with fewer than 20 chips is out. Each player flips their own coin 20 times, plots their chips on paper and marks their deepest fall from their high. Then compare: how many big bettors were knocked out, and whose fall could you have sat through calmly? This coin pays 1.5 to 1 on every win, an edge no real market hands you, so the big bettors who survive often finish with more chips; the real question is how many did not survive, and how close the rest came. Alone? Play the big-bet role 5 times with fresh flips and count the knock-outs.

Studying on your own? Do it yourself and note what you found in your journal.

Note: Educational content only, not investment advice. Stage 1 uses virtual money only and places no F&O trades, not even on paper. 5 Circles Pvt Ltd · SEBI Registered Research Analyst · Reg. No. INH000020004

AI Lab

AI is the analyst; you pull the trigger. Run a prompt in any AI tool, then sort its answer into Fact, Guess and Kachra (junk).

Streak simulator

Act as a patient spreadsheet tutor for a complete beginner in India. I am building a 100-trade streak simulator in Google Sheets from my course template, using made-up numbers. Inputs: H1 win-rate 0.55, H2 average win 1.5 (in R; every loss is -1R), H3 risk per trade 0.01 (1% of capital). Row 1 is the start: C1 and D1 = 100, E1 and F1 = 0. Row 2, copied down to row 101: A2 =ROW()-1 (trade number), B2 =IF(RAND()<\$H\$1,\$H\$2,-1) (result in R), C2 =C1*(1+\$H\$3*B2) (capital), D2 =MAX(D1,C2) (highest capital so far), E2 =C2/D2-1 (drawdown from that high), F2 =IF(B2<0,F1+1,0) (current losing streak). Summary: H5 =MAX(F2:F101) (longest losing streak), H6 =MIN(E2:E101) (deepest drawdown). First explain, one plain line each, what every formula does. If I paste a formula that shows an error or a strange value, find my mistake. Then explain how to freeze one random sequence (copy column B and paste it as values only) so I can compare 1% and 10% risk on exactly the same trades, and why any edit makes RAND() draw a fresh sequence, so I can see how much luck alone changes the picture. End with 5 plain lines on how to read the results. This is a teaching simulation: do not suggest any real strategy or stock, do not give buy or sell advice, and do not mention targets or expected returns.

Check the tipster's maths

I will paste a made-up message from a tip channel, for example: '7 out of 8 calls hit target last week, join Premium for Rs 4,999'. Act as a calm, sceptical teacher. First, list what the message does not tell me: the total number of calls, the average win and the average loss in R, costs, the time period, and whether the sender is registered with SEBI. Then sort each claim in the message into one of three groups: can be checked (say where I could check it), cannot be checked, or a sales trick (pressure, scarcity or a promise), and give one line of reason for each. If I give you a win-rate and a payoff, work out the breakeven win-rate with $1 / (1 + \text{reward per 1R of risk})$ and the expectancy per trade, showing each step. Do not name any real channel or stock, do not tell me to join any service, do not give buy or sell advice, and do not mention targets or return expectations.

Quiz me on trading maths

Act as a friendly maths coach for a beginner trader in India. Ask me 6 short numeric questions, one at a time, using made-up companies and round rupee numbers: two on R-multiples (1R = distance to the stop x quantity), two on expectancy and the breakeven win-rate, and two on drawdown and loss recovery. Wait for my answer each time, then show the correct working in simple steps and tell me where I slipped. At the end, name the one idea I should revise. Do not use real stock names, do not give buy or sell advice, and do not mention targets or return expectations.

The same prompts are in this day's AI Lab tab in the app, with a Copy button. Never paste your PAN, client ID, passwords, OTPs or contract notes into any AI.

Journal

Think of a tip, forward or 'hot call' you have seen. What did it show you, and what did it leave out? Write the one question you will now ask before you trust any win-rate.

Write your answer here, then save it in the app's Journal tab.

Maths makes no promise of a win. It only tells you, honestly, which game you are playing, and that honesty is where a trader begins.

Quiz

Tick your answers here, then submit the quiz in the app: only the app attempt counts.

Q1. Priya's practice plan: buy 100 shares of Kiran Foods Ltd at Rs 300, with a stop at Rs 294. She later exits at Rs 312. What is the result in R?

- ☐ A +12R
- ☐ B +0.5R
- ☐ C +2R
- ☐ D +1R

Q2. A rule wins half of its trades. Its average win is +1.5R and its average loss is -1R. What is its expectancy per trade, before costs?

- ☐ A +0.25R
- ☐ B Zero, since wins equal losses
- ☐ C -0.25R
- ☐ D +0.5R

Q3. A channel shows that 75% of its calls hit target. On average a winning call makes +0.25R and a losing call costs -1R. What does the maths say?

- ☐ A It loses about 0.06R a trade, even before costs
- ☐ B It is strong, since 75% accuracy is far above 50%
- ☐ C It breaks even: 75% is exactly its breakeven win-rate
- ☐ D It makes about +0.19R a trade before costs

Q4. Aman's virtual account falls from Rs 10,00,000 to Rs 7,50,000. What gain does he now need on Rs 7,50,000 just to get back to Rs 10,00,000?

- ☐ A About 50%
- ☐ B Exactly 25%
- ☐ C About 20%
- ☐ D About 33%

Q5. Priya's rule showed a 55% win-rate and a positive expectancy over 100 practice trades. Now it has lost 5 trades in a row. What is the most reasonable response?

- ☐ A Drop the rule, since five losses in a row prove it no longer works
- ☐ B Double the size of the next trade to win the losses back
- ☐ C Take the next trade with confidence, since a win is now due
- ☐ D Pause and check she followed her rules; 5 losses in a row are common here

AI as your co-pilot, and your scam radar

Concept: AI = analyst, you = trigger: sort every claim into Fact, Guess or Kachra

AI Lab: Fact / Guess / Kachra sorter and a hallucination trap

Mindset: Automation bias: blind trust in the machine

The 40% that was never there

Wednesday, 9 pm. Aman joins the evening class call and shares his phone screen. Two things are open: an AI chat and a Telegram message.



Aman

Sir, look. I asked the AI about Bharat Pumps Ltd. It says profit jumped 40% from the same quarter last year and the company 'looks very strong'. And this group says their AI bot is 95% accurate. With these two, why would I even study charts?



Tip-wala

AI-powered calls, 95% accuracy. Sure-shot profit every single day. Only Rs 4,999 a month. Just 10 seats left, join before midnight.



Priya

Aman, I just opened the company's own results press release. Profit is Rs 26 crore, against Rs 25 crore in the same quarter last year. That is 4%, not 40%. And the AI never said where its number came from.



Aman

But it sounded so sure, with a neat table and everything. Why would a machine make up a number?



Mentor

Priya, where did your number come from? Aman, where did the AI's come from? That gap is today's class. One machine invented a number; one group is selling a promise with 'AI' written on it. From today, the AI is your analyst, never your trigger.

The lesson: Confidence is not evidence. The AI can draft fast for you; checking and deciding stay your job.

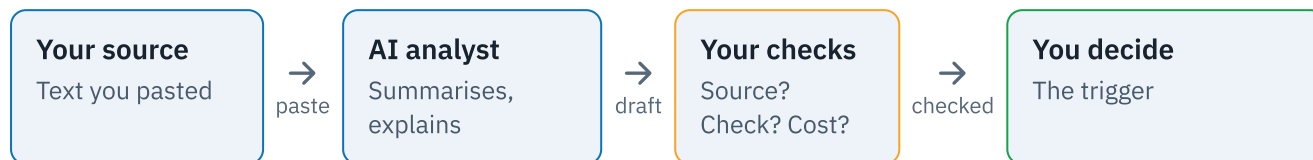
Learn

01 AI is the analyst, you are the trigger

An AI chat such as ChatGPT, Claude or Gemini runs on a large language model (LLM): software trained on huge amounts of text to write replies. It is very good at summarising a long document, explaining a term in simple words, turning messy notes into a checklist and asking you useful questions. It does not know

tomorrow's price, and it can be wrong while sounding completely sure. So this course has one rule: AI = analyst, human = trigger. The AI prepares a draft; you check it, and only you decide whether anything happens. You steer this analyst with a prompt in four parts: context (the source you paste), task (one clear job), format (how the answer must look) and guardrails (what the AI must not do).

From analyst to trigger



There is no arrow from the AI to the Buy button. Only you press it, and only after the checks.

EXAMPLE

Listed companies publish their results every quarter (every 3 months) and file them on the NSE and BSE websites, usually with a short press release. Revenue means total sales; profit is what is left after all costs. Aman typed: 'What do you think of Bharat Pumps?' He got a long, confident opinion he could not check. Priya pasted the company's results press release and wrote: 'Using only this text, give me up to 3 facts with the sentence each one comes from, up to 2 forecasts from the text marked Guess, and write missing for anything not in the text. No buy or sell view.' Her prompt has all four parts: context (the pasted text), task (up to 3 facts, up to 2 forecasts), format (quote, label, 'missing') and guardrails (only this text, no buy or sell view). When the reply said 'profit Rs 26 crore', the quoted sentence sat right beside it, so she checked it in seconds.

Remember: The AI drafts. You check. You decide. No AI answer ever goes straight into an order.

02 Fact, Guess or Kachra: sort every claim

Day 3's AI Lab prompt 'Check the tipster's maths' sorted claims into 'can be checked', 'cannot be checked' and 'sales trick'; today those rough groups become three bins with full rules. Every sentence you read about the market, from an AI, a news site, a friend or a video, fits one of three bins. Fact: something that has already happened, which you can check in an official source, such as the company's filing on the NSE or BSE website, and it matches. Guess: a forecast, opinion or interpretation, openly given as a view; it may be sensible, but nobody can check it today. Kachra (Hindi for rubbish): hype, a claim stated as certain with no source, any promise about profits, or a checkable claim that turns out wrong, like Aman's 40%. Most confusion comes from Guesses dressed up as Facts, so sorting before you believe is the core AI skill of this course.

Three bins for every claim

Fact: checkable

- Revenue Rs 420 cr vs Rs 380 cr
- Results filed on the NSE website
- Debt cut to Rs 60 cr

Guess: a view

- 'We expect strong festive demand'
- 'Profit may grow next year'
- A TV anchor calls it 'well placed'

Kachra: hype, promise, wrong

- 'Will double by Diwali'
- 'Our AI bot is 95% accurate'
- 'Insider news, act fast'
- AI: 'profit up 40%' (it was 4%)

Sample lines from a made-up company's results day. Sort first, believe later.

EXAMPLE

Kiran Foods Ltd's results release says revenue rose to Rs 420 crore from Rs 380 crore. That is a Fact: it is in the filing, and $\text{Rs } 40 \text{ crore} \div \text{Rs } 380 \text{ crore}$ works out to growth of about 10.5%. The release also says 'management expects strong festive demand'. It is a fact that they said it, but what they said is a Guess. A Telegram forward says 'Kiran Foods will double by Diwali, insider news'. That is Kachra: no source, no way to check, and a promise on top. Trading on real inside information (news the company has not yet made public) is illegal anyway.

Remember: It can be a fact that someone said it, while what they said is still a guess.

03 Hallucination and the knowledge cutoff

A hallucination is when an AI states something false with full confidence: a wrong number, a SEBI circular that does not exist, a results date that never happened. It happens because an LLM writes the most likely-sounding next words; it does not look up the truth on its own. The knowledge cutoff is the date its training text ends, so it may not know recent results, new rules or today's prices. Some AI tools can search the web, but web results can be old, wrong or from poor sources, so treat them as unverified too. What helps most: paste the source yourself, ask for the sentence behind every number, and tell the AI to write 'missing' instead of guessing. Even with the source pasted, it can misread a table, so you still check the quote.

Catching the 40%

	Profit this quarter	Rs 26 cr
-	Same quarter last year	Rs 25 cr
=	Increase	Rs 1 cr
÷	Divide by last year's profit	Rs 25 cr
x	Turn into a %	100
=	Real growth (AI said 40%)	4%

For 40% growth, profit would need to be Rs 35 crore. The release says Rs 26 crore.

EXAMPLE

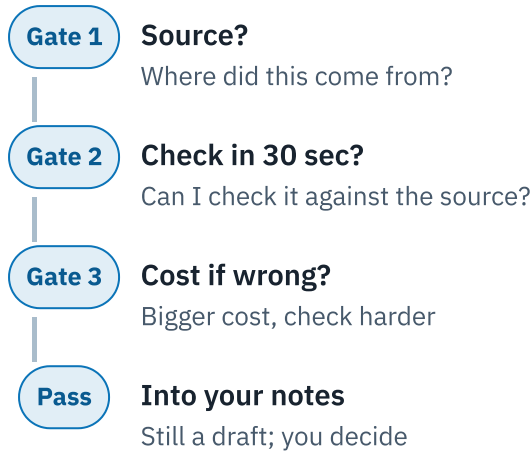
Back to Aman's 40%. Bharat Pumps Ltd's release shows quarterly profit of Rs 26 crore, against Rs 25 crore in the same quarter last year. The increase is Rs 1 crore, and $\text{Rs 1 crore} \div \text{Rs 25 crore} = 4\%$. For 40% growth, profit would have had to be Rs 35 crore. One division caught the hallucination. Always ask 'growth versus what?': the same quarter last year, or the quarter just before. The cutoff trap is quieter: a model trained on old text may still tell you Indian shares settle on T+2, although the market moved fully to T+1 in January 2023.

Remember: No source, no quote, no trust. Ask for 'missing' instead of a guess.

04 Automation bias: when a neat answer switches off your brain

Automation bias means trusting a machine's answer more than your own checking, simply because a machine produced it. It grows when the answer looks neat: a clean table, exact decimals, a calm and confident tone. Airline pilots are trained to cross-check their autopilot; beginners in the market rarely are. The fix is a small habit, the 3 gates, run on every AI claim before it reaches a decision: source (where did this come from), check (can I match it to that source myself, often in 30 seconds) and cost (what do I lose if it is wrong). A claim with no source, or one you have not checked, stays out of your decision; the bigger the cost of being wrong, the more carefully you check.

The 3-gate card



Keep this card beside your screen. No source, or not checked yet? It stays out.

EXAMPLE

Think of a GPS. It is right on most days, but one evening it tells you to turn into a lane blocked by a wedding shamiana. You still look out of the window. Aman's AI table showed Bharat Pumps' quarterly revenue as 'Rs 1,184.37 crore'. The two decimals felt precise, so he stopped checking. Precision is not proof: an invented number can carry two decimals as easily as a real one. Had he put Rs 50,000 behind it, Gate 3 would have asked: is a number I never checked worth Rs 50,000?

Remember: A neat answer is not a checked answer. Run the 3 gates every time.

05 Data hygiene: what never goes into an AI

Data hygiene means keeping your personal and financial details out of places they do not need to go. Whatever you type or upload into an AI chat may be stored on the company's servers, used to improve the product, or exposed in a leak. Where your AI app allows it, use a temporary chat or switch off training on your chats; that still does not make a PAN, OTP or password safe to paste. Never paste your PAN, Aadhaar, bank account number, client ID (your login ID with the broker), passwords, OTPs, TPIN or API keys (secret codes that let an app act on your account), and never upload a contract note or screenshot that shows them. Public text is fine: a company's press release, an index level, a made-up practice trade. If you need help with a personal document, type only the part you need and leave your identity out.

What goes in, what stays out

Fine to paste

- A company's press release
- Index levels, public news
- Made-up practice trades
- Your journal, names removed

Never paste

- PAN, Aadhaar, bank account
- Client ID, password, OTP, TPIN
- API keys of any app
- Contract notes with your details

When in doubt, leave it out. You can describe a document instead of uploading it.

EXAMPLE

Priya's uncle bought Rs 25,000 worth of Gupta Cement shares and asks her to 'put the contract note in AI' so he can understand the charges. The PDF shows his name, PAN, client code and address. Priya does not upload it. She types only the names of the charge lines (brokerage, STT, exchange charges, GST, stamp duty) and asks what each one pays for. The AI's explanation needed none of his identity; a fraudster would have wanted all of it.

Remember: Paste the question, not your identity. PAN, OTP and passwords never go into any AI.

06 Don't become a tipster, and spot one in an AI costume

An AI answer that names a stock, an entry price and a target is still a guess, however polished it looks. Forward it to friends or a WhatsApp group as a call and you start acting like an adviser. Giving buy or sell recommendations as a business or for a fee needs SEBI registration as an Investment Adviser or Research Analyst, and even a 'free' call can cost the people who follow it. Scammers use AI too: glossy 'research reports', fake profit screenshots, even deepfake videos of famous faces inviting you to an 'investment group'. Your radar is simple: any promise of accuracy, a fixed monthly income or secret news goes straight into the Kachra bin. Day 7 runs a full audit of 20 practice tips and shows you how to check a registration.

Registered research vs an AI-costume scam

Registered research report

- SEBI number (INH or INA) you can check
- Analyst's name and firm stated
- Disclosures and risk warnings
- No promise of accuracy or profit
- Fee to an account in the registered name

AI-costume scam

- '95% accurate AI bot'
- Glossy report, no number you can check
- Deepfake video of a famous face
- Countdown: 'join before midnight'
- Pay to a personal UPI ID

A number on the page is only a start: check it yourself on SEBI's website (Day 7). Fakes copy real names and numbers too.

EXAMPLE

Go back to the Telegram bot: '95% accurate', Rs 4,999 a month. That is Rs 59,988 a year before a single trade. Day 3's maths says a win-rate alone is not enough: 95 wins of Rs 1,000 each and 5 losses of Rs 25,000 each still end Rs 30,000 down over those 100 trades, and that is before the fee. The group shows no record of losses, no registration number, and a countdown to join. Every one of those is a red flag, not a reason.

Remember: Never forward an AI answer as a buy or sell call. Any accuracy promise goes in the Kachra bin.

Words from today

LLM (AI chat)

Large language model: software trained on huge amounts of text to write replies; AI chats such as ChatGPT, Claude or Gemini run on one. Strong with language, blind to the future.

Prompt (4 parts)

Your instruction to an AI: context (paste the source), task (one clear job), format (quote each number, label it Fact, Guess or Kachra, write 'missing') and guardrails (no buy or sell view, no targets, nothing from outside the text).

Hallucination

When an AI states something false with full confidence, such as a made-up number or a circular that does not exist.

Knowledge cutoff

The date an AI's training text ends. It may not know results, rules or prices from after that date.

Fact / Guess / Kachra

The course's three bins. Fact: something that has already happened, checkable in an official source, and it matches. Guess: a forecast or opinion, even when it is printed in a filing. Kachra: hype, promises, claims stated as certain with no source, or claims that turn out wrong.

Automation bias

Trusting a machine's answer more than your own checking, just because a machine produced it.

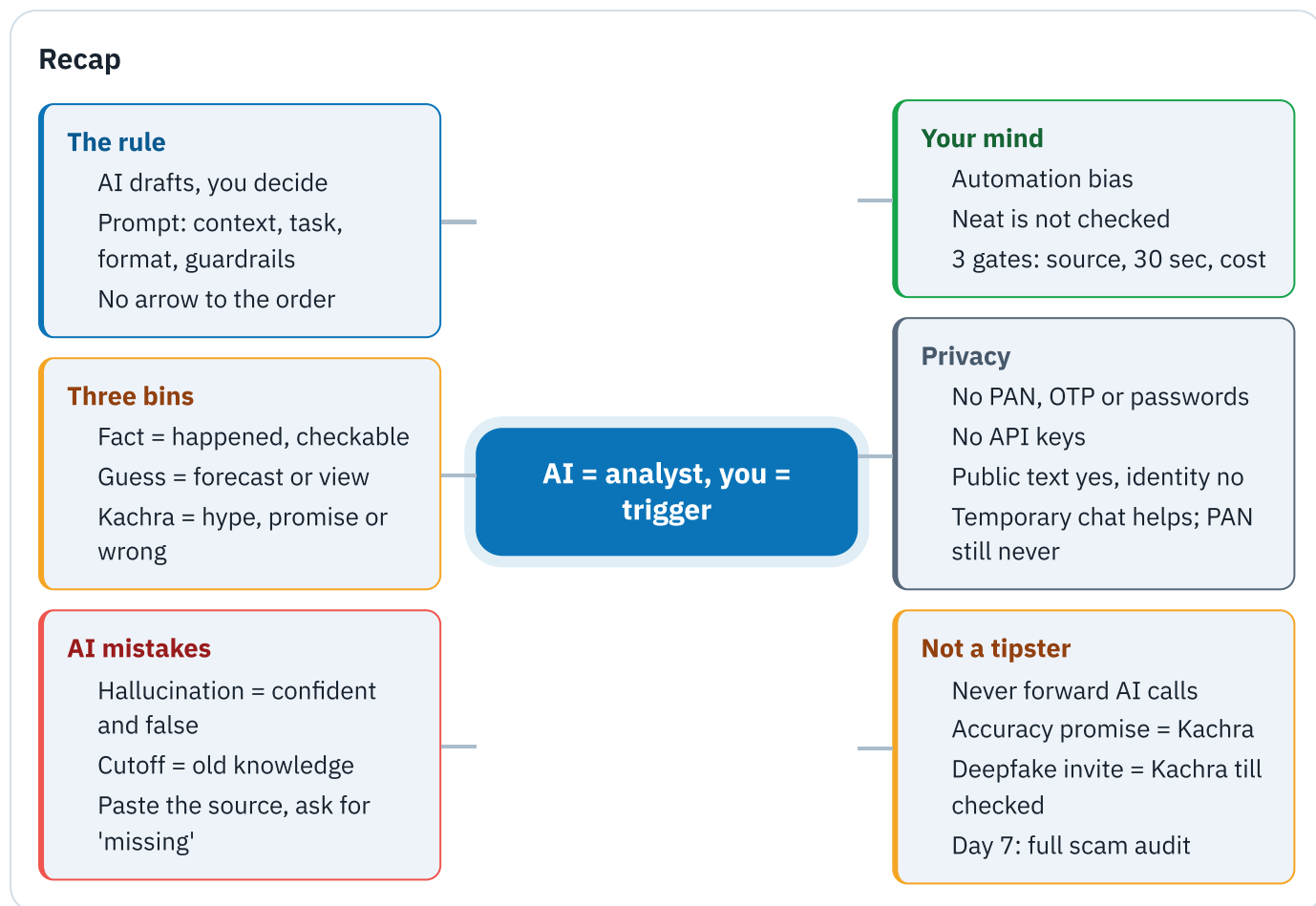
Data hygiene

Keeping PAN, Aadhaar, OTPs, passwords, client IDs and API keys out of every AI tool and chat.

Deepfake

An AI-made video, photo or voice that copies a real person. Scammers use famous faces to pull people into 'investment groups'; treat any such invite as Kachra until you have checked it.

Recap map



Today's task

35 min

Sort one real results press release into Fact, Guess and Kachra with an AI, check its numbers yourself in a 3-gate log, set a hallucination trap, and write your first 4-part prompt.

- ☐ On nseindia.com, open Corporate Announcements (type it in the site's search box if you cannot find it; bseindia.com also works). The newest filings from all companies are listed; tap one whose subject says 'Press Release' or 'Financial Results' and copy its text. If the PDF will not copy (some are scanned images), pick another one or upload the PDF itself: it is a public document with no personal data.
- ☐ Paste it into any AI chat with the AI Lab prompt 'Fact, Guess or Kachra sorter', and read the three lists it returns.
- ☐ Pick two numbers the AI labelled Fact, find each one in the original release, and write both into the 3-gate check log under 'Your template', with whether they matched.
- ☐ If the release gives this year's and last year's profit, work out the growth on your phone calculator: $(\text{new} - \text{old}) \div \text{old} \times 100$. Does it match the % the AI gave?
- ☐ Run the 'Hallucination trap' prompt; the circular in it does not exist. Note in your journal whether the AI invented rules for it.
- ☐ In the 'Your version' column of the Safe prompt card, write your own 4-part prompt for one question you still have about the release, then tick that it has context, task, format and guardrails.

YOUR TEMPLATE

Safe prompt card: 4 parts

Use all four parts in every prompt in this course. Guardrails are never optional.

Part	What it does	Priya's prompt	Your version
Context	Hands the AI your source, so it need not guess	The full results press release, pasted	
Task	One clear job, with a limit	Up to 3 facts and up to 2 forecasts	
Format	How the answer must look, so you can check it fast	Quote each sentence; label Guess; write 'missing'	
Guardrails	What the AI must not do	Only this text; no buy or sell view	

Never put your PAN, OTP, password or client ID into the context.

3-gate check log

Log every AI number here before it goes into your notes. The first four rows come from today's lesson, already sorted.

Claim	1. Source?	2. Matches source?	3. Cost if wrong	Bin
AI: Bharat Pumps profit up 40%	None given	No: release says Rs 26 cr vs Rs 25 cr, so 4%	High, if a trade is built on it	Kachra
Kiran Foods revenue Rs 420 cr vs Rs 380 cr	Results filing on NSE	Yes: matches; growth 10.5%	Low: it is only a note	Fact
'Strong festive demand expected'	Same filing	Said, yes; cannot be checked today	Medium, if you bet on it	Guess
'AI bot, 95% accurate'	Telegram ad	No record of losses, no SEBI number	Rs 4,999 a month, then your trades	Kachra

No source, or not checked yet? It stays out of your decisions.

OUTCOME

By the end you can write a safe 4-part prompt, use an AI chat as your analyst while you stay the decision-maker, sort any claim into Fact, Guess or Kachra, catch a hallucination by checking the source, keep personal data out of AI tools, and explain why forwarding an AI 'call' turns you into a tipster.

TOOLS

- Any AI chat (ChatGPT, Claude or Gemini)
- NSE or BSE website (nseindia.com, bseindia.com)
- Phone calculator
- Paper card or phone notes

WITH YOUR BATCH

'Do sach, ek jhooth' (two truths, one lie): one person writes a tiny made-up results note (this year's profit, last year's profit, revenue), then three statements about it, one of them false. The other finds the false one using only the note and a calculator, and shows the working that proves it. Sample round: Anand Snacks Ltd made a profit of Rs 18 crore this year against Rs 15 crore last year, on revenue of Rs 240 crore. (a) Profit grew 20%. (b) Profit is 7.5% of revenue. (c) Profit grew 16.7%. The lie is (c): it divides the Rs 3 crore rise by this year's Rs 18 crore instead of last year's Rs 15 crore. Solo version: ask an AI to write the note and the three statements, and play against it.

Studying on your own? Do it yourself and note what you found in your journal.

Note: Educational content only, not investment advice. Company names, the Telegram group and the SEBI circular number in this lesson are made up for training. AI output is analysis for learning, never a buy or sell call. No affiliation with any AI tool named. Stage 1 uses virtual money only. 5 Circles Pvt Ltd · SEBI Registered Research Analyst · Reg. No. INH000020004

AI Lab

AI is the analyst; you pull the trigger. Run a prompt in any AI tool, then sort its answer into Fact, Guess and Kachra (junk).

Fact, Guess or Kachra sorter

You are my research assistant; I make every decision myself. Below I will paste the full text of one company's results press release. Using ONLY that text, give me three lists. Facts: up to 5 statements that can be checked in the text, each followed by the exact sentence it comes from. Guesses: up to 3 forecasts, opinions or management expectations, each labelled Guess. Kachra: any hype, vague superlative, promise, or claim stated as certain that the text does not back up (Kachra is Hindi for rubbish), each labelled Kachra. Forecasts and management expectations go under Guesses, not Kachra. If something a reader might want is not in the text, write 'missing' instead of guessing, and do not use any outside knowledge. Do not give any buy, sell or hold view, and do not mention price targets or expected returns.

Press release text:
<paste here>

Hallucination trap (made-up circular)

Summarise, in 5 bullet points, the main rules in SEBI circular SEBI/HO/AIX/P/CIR/2026/999 titled 'Colour standards for buttons in trading apps'. After the bullets, add a section called 'Honesty check' that answers: (1) Do you have a verifiable source showing that this circular exists? Answer yes or no plainly. (2) Label each bullet Fact, Guess or Kachra (Kachra means hype, a promise, or a claim stated as certain with no source). (3) What is your knowledge cutoff date, and can you search the web right now? (4) Which official website should I use to check SEBI circulars? Do not give any buy or sell advice, and do not mention targets or expected returns.

Spot the planted error

Act as a quiz master for an Indian beginner. Write 6 short statements that an AI might give about Indian market basics: NSE market hours, T+1 settlement, what a demat account holds, what an index such as NIFTY 50 is, price bands, and SEBI's role. Make exactly 2 of them subtly wrong but written in the same confident tone, and do not tell me which. Wait for my answer. Then reveal the 2 wrong statements, correct them in simple words, and name the official website (SEBI, NSE, BSE, NSDL or CDSL) where I can check each one. Do not mention any real company or stock, and do not give buy or sell advice, targets or return expectations. For price bands, do not state any percentage; say only that the exchange sets them per stock. After the reveal, remind me to confirm each correction on the named website myself, because your reveal can also be wrong.

The same prompts are in this day's AI Lab tab in the app, with a Copy button. Never paste your PAN, client ID, passwords, OTPs or contract notes into any AI.

Journal

Where did you trust a confident answer this week without checking it: from an AI, a friend, a news anchor or a video? Which of the 3 gates would have caught it?

Write your answer here, then save it in the app's Journal tab.

Today a confident machine was caught by one simple division. That small habit of checking will outlast every tool you ever use.

Quiz

Tick your answers here, then submit the quiz in the app: only the app attempt counts.

Q1. An AI chat tells Aman that Bharat Pumps Ltd's quarterly profit grew 40% from the same quarter last year. The company's release shows quarterly profit of Rs 26 crore, against Rs 25 crore in the same quarter last year. What is going on?

- ☐ A Growth is 4%; the AI made up the number
- ☐ B Growth is 26%, since profit is Rs 26 crore
- ☐ C Growth is 40%; the AI has newer data
- ☐ D Growth is about 3.8%: $\text{Rs } 1 \text{ cr} \div \text{Rs } 26 \text{ cr}$

Q2. A results release says: 'Management expects strong demand in the festive season.' Using today's three bins, how should you label what this line claims?

- ☐ A Kachra: all company statements are just hype
- ☐ B Guess: really said, but still a forecast
- ☐ C Fact: it is in an official filing
- ☐ D Fact: management knows its own demand best

Q3. Priya's uncle wants an AI chat to explain the charges on his contract note. The PDF shows his name, PAN, client code and address. What is the safest way to get help?

- ☐ A Type only the charge names into the chat, and leave his identity out
- ☐ B Upload it in a temporary chat, so nothing is kept once he closes it
- ☐ C Upload it, but only on a paid AI plan, where files stay private
- ☐ D Upload the PDF as it is; AI chats keep all uploaded data private

Q4. Aman gets an AI answer with a clean table, figures to two decimals and no source. He thinks, 'A machine would not make up numbers,' and stops checking. Which trap has he fallen into?

- ☐ A Beginner's overconfidence
- ☐ B Knowledge cutoff
- ☐ C Automation bias
- ☐ D Hallucination

Q5. An AI answer about Sharma Textiles Ltd reads like a call, with an entry price and a target. Aman's office WhatsApp group keeps asking him what to buy. What should he do?

- ☐ A Forward it with a note saying 'AI-generated'
- ☐ B Forward it, since the AI wrote it and not him
- ☐ C Send it only to close friends
- ☐ D Share nothing that reads like a stock call

Reading a chart: candles, timeframes and volume

Concept: Charts, timeframes, candles and volume

AI Lab: Chart screenshot cross-check: AI describes, you verify

Mindset: Seeing patterns everywhere

Five green candles

Thursday, 10:30 pm. Aman posts a chart screenshot in the study group and tags the mentor.



Aman

Sir, look at Kiran Foods. Five green candles in a row, each one higher than the last. Something big is starting, isn't it? I want to get in first thing tomorrow.



Mentor

Before we talk about 'big', tell me two things. What timeframe is this chart? And what do the volume bars under those candles look like?



Aman

Timeframe... whatever the app opened. One minute, the corner says 5m. So those five candles are only 25 minutes?



Priya

And sir, the volume bars under them are tiny, smaller than most of the day. Very few shares were changing hands then.



Mentor

So it is a 25-minute wiggle on very low volume. Toss a coin all day and you will often see five heads in a row too. Today we learn to read what a chart actually shows. What it means comes after that.

The lesson: Before you ask what a chart means, check what it shows: the timeframe, the candles and the volume.

Learn

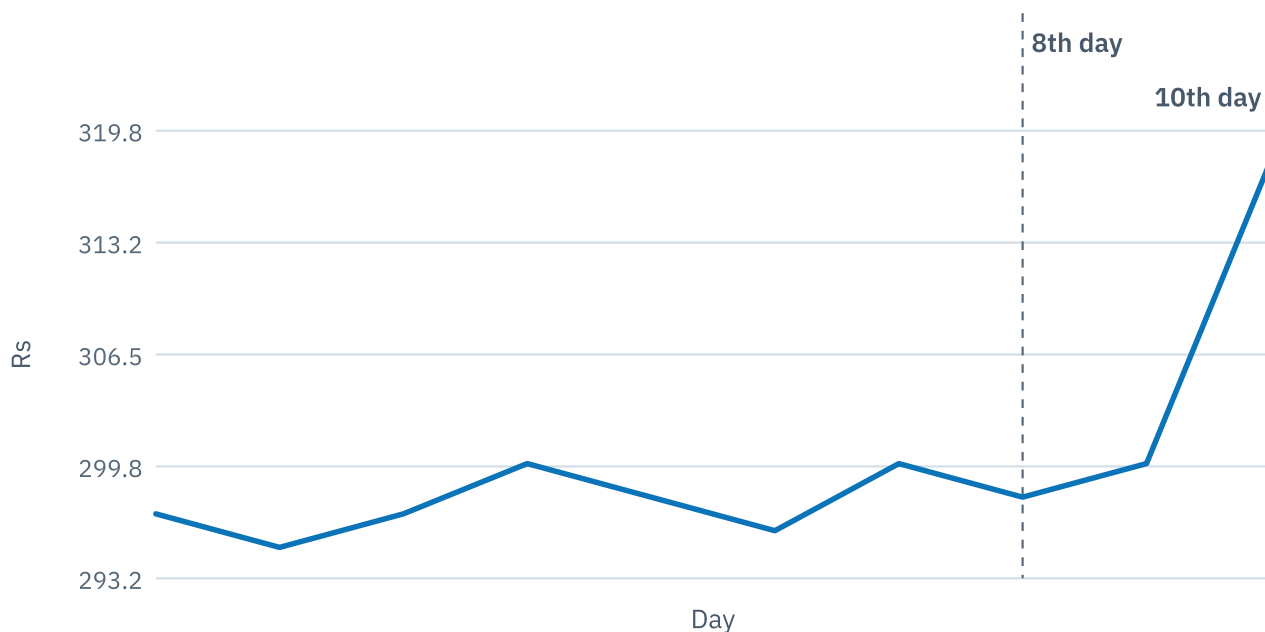
01 Your free chart, and three ways to draw price

A price chart is a picture of the prices at which a share changed hands over time: the price scale runs up the right side, and time runs along the bottom. You do not need a broker account to see one: open tradingview.com in your phone browser, or its free app, search 'NIFTY' and pick the NIFTY 50 index from NSE. That free chart is enough to start, and the timeframe button (1D, 1W, 15m) sits near the top. The same prices can be drawn three ways. A line chart joins each period's closing price: clean, but it hides everything that happened in between. A bar chart draws each period as a vertical line from its low to its high, with a small tick on the left for the open and one on the right for the close. A candlestick chart shows the same four prices with

a coloured body between the open and the close; it is the easiest to read, so we use it from today. For a chart covering many years, switch on the log scale (in TradingView, look for Log in the price-scale settings), so that a rise from Rs 100 to Rs 200 looks as big as one from Rs 1,000 to Rs 2,000: both are +100%.

Line chart: Kiran Foods, 10 days

ILLUSTRATIVE



Only the 10 closes, joined (made-up prices). The 8th day's run to Rs 310 and drop to Rs 293 are invisible here. The same 10 days are drawn as candles, with volume, in the Volume topic below. A bar chart would show each day as a line from low to high, with a left tick for the open and a right tick for the close.

EXAMPLE

Take Kiran Foods Ltd, the stock in Aman's screenshot, over 10 daily sessions (the prices are made up). On the 8th day it closed at Rs 298, just Rs 2 below the day before, so the line chart shows a small, calm dip. The candle for that day tells you much more: it opened at Rs 301, ran up to Rs 310 by 11 am, fell to Rs 293 after lunch and closed at Rs 298. A bar chart would draw the same day as a line from Rs 293 up to Rs 310, with a tick on the left at Rs 301 (the open) and one on the right at Rs 298 (the close). Anyone who bought at Rs 310 is sitting on a loss of Rs 12 a share, though the line looks perfectly calm.

Remember: Line for a quick look, candles for real reading. Any free chart will do; no broker account needed.

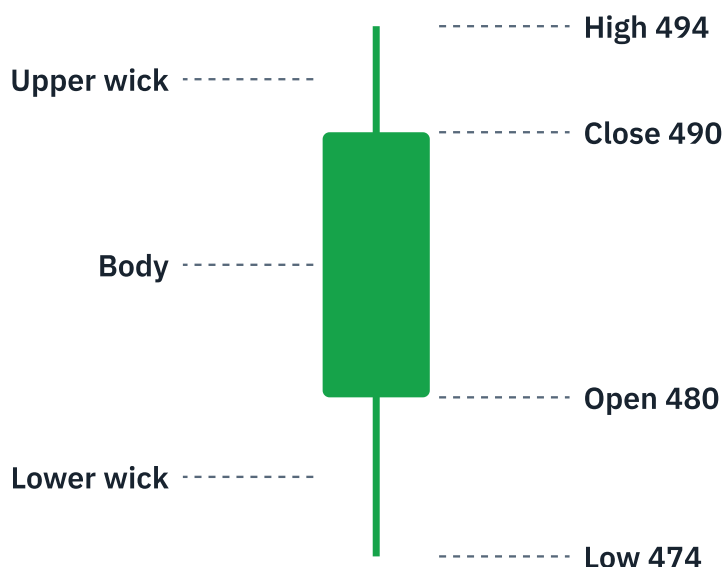
02 One candle, four prices

Every candle records four prices for its period, called OHLC: open (the first trade), high (the highest trade), low (the lowest trade) and close (the last trade). Daily candles on NSE have a twist. The day's open is usually set in the 9:00-9:15 pre-open session. The official close is set by the exchange: since 3 August 2026, stocks that have F&O contracts stop continuous trading at 3:15 pm, and a closing auction running to about 3:35 pm fixes one closing price; other stocks trade till 3:30 pm, and their close is the volume-weighted average price of roughly the last 30 minutes (check NSE for the latest). So a daily candle's open and close can differ a little from the first and last 5-minute candles. The thick body runs from the open to the close, and the thin wicks,

also called shadows, reach up to the high and down to the low. A green candle closed above its own open, so its body climbs from the open at the bottom to the close at the top. A red candle closed below its own open, so it is the other way up: the open is the top of the body and the close is the bottom. Colour compares the close with the same candle's open, not with yesterday's close, so a green candle can still be a down day, and a red candle an up day.

Inside one candle

ILLUSTRATIVE



Green candle: close above open

Green, because the close (Rs 490) is above the open (Rs 480), even though the stock is down from yesterday's Rs 500. A red candle is drawn the other way up: see the labelled red model under 'Your template' in today's task.

EXAMPLE

Bharat Pumps Ltd closed at Rs 500 yesterday. Today it opens at Rs 480 after weak news, dips to Rs 474, recovers to a high of Rs 494 and closes at Rs 490. The candle is green, because Rs 490 is above today's open of Rs 480. Yet your app shows the stock down Rs 10, or 2%, because it compares with yesterday's Rs 500. Now the mirror case: Anand Snacks Ltd closed at Rs 200 yesterday, opens at Rs 212 on good news, touches Rs 216, slips to Rs 202 and closes at Rs 205. That candle is red, because Rs 205 is below its Rs 212 open, yet the stock is up Rs 5 for the day. Both readings are true; they simply answer different questions. One more check: some apps draw hollow and filled bodies instead of green and red, so see what your app's colours mean.

Remember: Green or red compares the close with its own open. Up or down for the day compares with yesterday's close. On a red candle, the open is on top.

03 Timeframes: the zoom button of a chart

A timeframe is how much time one candle covers: on a daily chart one candle is one session, and on a 15-minute chart a normal session makes 25 candles. A bigger candle is simply the smaller ones joined: the first open, the highest high, the lowest low and the last close. Switching timeframes is like zooming on Google Maps: weekly is the country, daily is the city, 15-minute is your street. The higher timeframe shows the big picture; the lower one shows detail and a lot of noise, meaning small random moves. Read the direction on the higher timeframe and the timing on the lower one, never the other way round. A swing trader, who holds for days or weeks, reads the weekly and daily charts; an intraday trader, who exits the same day, reads the daily and 15-minute charts.

Zooming in, one step at a time

- 1W Weekly**
1 candle = 1 week. The big picture.
- 1D Daily**
1 candle = 1 session. Swing decisions.
- 15m 15-minute**
25 candles a day. Intraday timing.
- 5m 5-minute**
75 candles a day. Mostly noise for beginners. Never plan a swing trade here.

A normal 9:15-3:30 session is 375 minutes: $375 \div 15 = 25$ candles, $375 \div 5 = 75$. Since 3 Aug 2026, stocks that have F&O contracts trade continuously only till 3:15 pm and a closing auction then sets their close, so their last candles of the day can look different. Check NSE for the latest.

EXAMPLE

Priya's habit: before she opens a 15-minute chart, she writes one line from the daily chart, such as 'Daily: NIFTY 50 has risen through most of this month.' Then, in the last hour today, say NIFTY 50 falls from 24,300 to 24,180: 120 points of red 15-minute candles that look scary up close. That fall is only about 0.49% ($120 \div 24,300 \times 100$); on the daily chart it is just part of one candle, a small wiggle in the bigger picture. Her one line stops her from mistaking a wiggle for a new story.

Remember: Plan on the bigger candle, time on the smaller one.

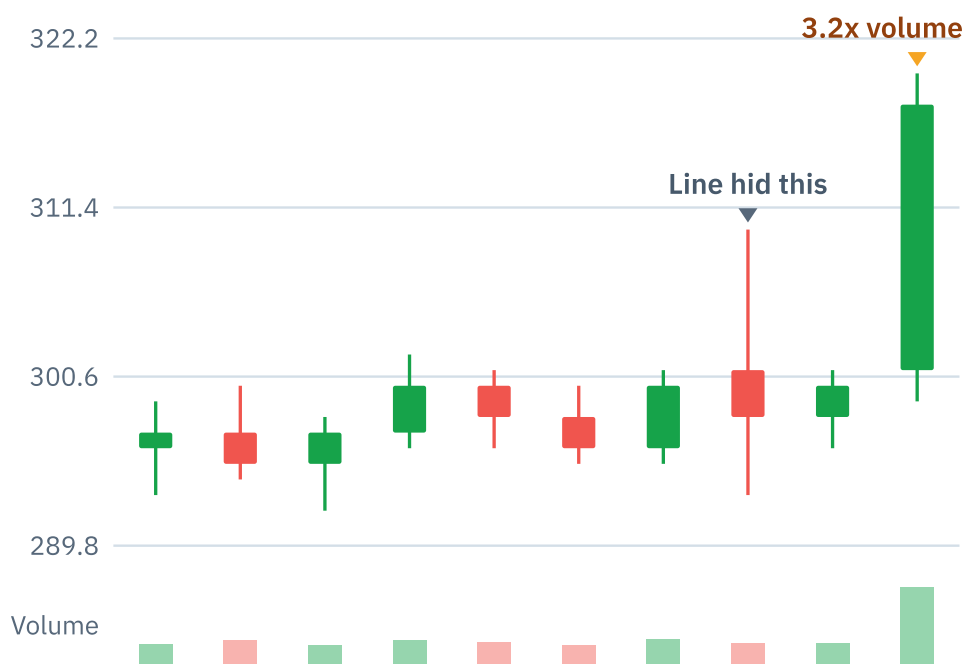
04 Volume: how many shares changed hands

Volume is the number of shares traded during a candle's period, and charts show it as bars under the price. Every share bought was sold by someone, so each share traded is counted once; volume has no side. Many apps simply give the volume bar the candle's colour, a few colour it against the previous close, and either way green is about price, not proof that buyers outnumbered sellers. To judge whether volume is high, compare it

with the average volume, usually of the last 20 sessions; today's volume divided by that average is called relative volume. Volume counts shares, not people: one big fund can make a tall bar on its own. Shares with low volume also tend to have wider bid-ask spreads, as you saw on Day 2.

The same 10 days, as candles

ILLUSTRATIVE



The Kiran Foods days from the line chart in the first topic, now as candles with volume bars underneath (made-up numbers). The 8th day's wick to Rs 310 was invisible on the line. The last day traded 6,40,000 shares against a 20-day average of 2,00,000.

EXAMPLE

Kiran Foods Ltd trades about 2,00,000 shares on a normal day; that is its 20-day average volume. Today it rises from Rs 300 to Rs 318 (+6%), and 6,40,000 shares change hands. Relative volume = $6,40,000 \div 2,00,000 = 3.2$ times. Far more shares than usual changed hands in this move. What that means for a trade depends on where on the chart it happened, and that is Day 6's lesson.

Remember: Volume has no side. Call it big or small only after comparing it with its average.

05 Adjusted prices: the crash that never happened

Sometimes a share's price changes overnight and nobody loses a rupee. In a stock split each share becomes two or more, so the price falls in the same proportion; in a bonus issue holders get free extra shares, and the price adjusts the same way. Your holding is worth the same, but a raw (unadjusted) price chart shows a sudden cliff. That is why most charting sites show adjusted prices: they rescale all older prices so the chart stays comparable, and some can also adjust for dividends. Company decisions like these are called corporate actions, and the NSE website lists them for every company listed there. Before you believe any sudden crash or jump on a chart, check that list; Day 15 covers corporate actions in detail.

A split changes the price, not your money

After: 20 shares x Rs 600	Rs 12,000
- Before: 10 shares x Rs 1,200	Rs 12,000
= Change in your holding	Rs 0

A raw chart shows this as a 50% fall. An adjusted chart divides older prices by 2, so there is no cliff.

EXAMPLE

Gupta Cement Ltd closes at Rs 1,200 on Thursday. On Friday a split takes effect, each share becomes two, and the share trades around Rs 600. Aman's 10 shares worth Rs 12,000 are now 20 shares at Rs 600: still Rs 12,000. A raw chart shows a 50% fall in one day. An adjusted chart divides every price before the split by 2, so Thursday shows Rs 600 and the line runs on without a break. Free price downloads, and AI tools reading them, may use raw prices, so check before you trust any 'crash'. One practical catch: the extra shares usually reach your demat a working day or two later, so for a short while your app may show the old number of shares at the new, lower price. That gap is not a loss either.

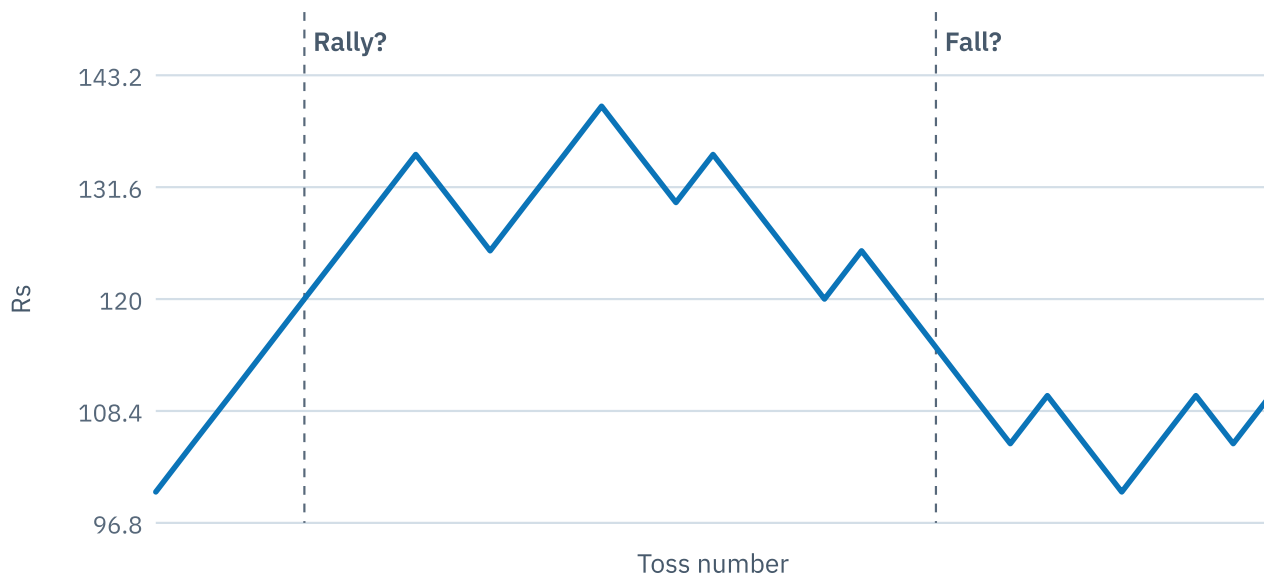
Remember: A sudden cliff on a chart may be a split or a bonus, not a crash. Check corporate actions before you react.

06 Seeing patterns everywhere

Our brain is built to find patterns: we see faces in clouds and an old woman spinning thread on the moon. On charts this becomes pattern illusion, seeing meaning in moves that are mostly chance. Coin tosses, drawn as a chart, produce rallies (quick rises), falls and streaks that can look a lot like a share price chart. AI tools share the habit: shown a chart screenshot, an AI can misread numbers or name a pattern that is not there. So read every chart in a fixed order, timeframe, then candles, then volume, and treat anything you cannot point to on the chart as a Guess, not a Fact. Before you share a screenshot with AI, keep the price axis and dates visible, and crop out your name, client ID, balances and holdings.

30 coin tosses, drawn as a chart

ILLUSTRATIVE



One made-up run of 30 tosses, picked to show a clear streak: start at Rs 100, heads add Rs 5, tails take away Rs 5. Your own tosses will look different, but they will still show streaks and swings.

EXAMPLE

Five heads in five tosses is rare: about 1 in 32. But a normal day has 75 five-minute candles. If every one of them were a coin toss, a run of five or more green candles would still show up somewhere on about 7 days out of 10. So Aman's five green candles on a 5-minute chart prove nothing on their own. Chance alone makes streaks like that on a screen full of candles.

Remember: If you cannot point to it on the chart, it is a Guess. Timeframe, candles and volume first; the story comes last.

Words from today

OHLC

Open, high, low and close: the four prices every candle or bar records for its period. On an NSE daily candle, the open and close are the exchange's official prices.

Line, bar and candlestick chart

Three drawings of the same prices. A line joins only the closes. A bar is a vertical line from low to high, with a left tick for the open and a right tick for the close. A candle shows the same four prices, with a coloured body from open to close.

Body and wick

The body runs from open to close; the thin wicks reach the high and the low. On a green candle the open is the bottom of the body; on a red candle it is the top. A long wick shows prices that were touched but not kept.

Closing auction

Since 3 Aug 2026, for stocks that have F&O contracts: continuous trading ends at 3:15 pm and a short auction, running to about 3:35 pm, sets one official closing price. Other stocks' close is the volume-weighted average of roughly the last 30 minutes. Check NSE for the latest.

Timeframe

How much time one candle covers: 5 minutes, 15 minutes, one session or one week.

Volume and relative volume

Volume is the number of shares traded in a period. Relative volume is today's volume divided by its average, often the 20-day average.

Adjusted price

A price series in which older prices are rescaled for splits, bonus issues and sometimes dividends, so the chart shows no fake cliffs.

Pattern illusion

Seeing meaning in chart moves that are mostly chance. Coin tosses can make convincing 'patterns' too.

Recap map

Recap

Chart types

Same prices, three pictures
Line = closes only
Bar and candle = OHLC
Log scale for long charts

One candle

Body = open to close
Wicks = high and low
Colour = close vs its own open
Red: open on top of the body

Timeframes

1 candle = 1 period
Daily = one session
Plan on big candles, time on small

Reading a chart

Volume

Shares traded, no side
Compare with the 20-day average

Adjusted prices

Split or bonus is not a crash
Check corporate actions on NSE

Your mind

Coin tosses make patterns too
Can't point to it? It's a Guess
Crop personal details before AI

Today's task

40 min

Set up a free chart and read it in order: chart type, one candle (fill the Candle reading card), three timeframes, volume and corporate actions, then check an AI's reading against your own.

- ☐ On tradingview.com or its free app, search 'NIFTY', open the NIFTY 50 index from NSE, switch the chart type between line, bars and candles to see the same days drawn three ways, and leave it on candles.
- ☐ On the daily (1D) chart, read the last candle's open, high, low and close (TradingView shows them as O, H, L, C at the top left; tap and hold a candle to see another one), and fill the 'Your candle' column of the Candle reading card below, in a notebook or Google Sheets. If the market is open, that candle is still forming, so also note the time.

- ☐ Switch to 1W and then to 15m, and write one line for each: what does this zoom level show you?
- ☐ Open the daily chart of any one company from the NIFTY 50 list (search NIFTY 50 constituents on nseindia.com or niftyindices.com). This is for practice, not a pick; the index itself has no volume. If no volume bars show, add the 'Volume' indicator, then note whether the last bar is taller or shorter than most of the previous 20.
- ☐ On nseindia.com, search the same company, open its 'Corporate Actions' section, and note its most recent split, bonus or dividend, if any. If the page offers a date range, pick one year or more; if NSE does not load, try bseindia.com.
- ☐ Screenshot that daily chart, crop out anything personal, run the AI Lab prompt 'Chart screenshot cross-check', and mark each claim tick, cross or 'can't verify'.

YOUR TEMPLATE

Candle reading card

Read one NIFTY 50 daily candle and fill the last column; for an index the numbers are points, not rupees. Body and wicks are always a positive gap: bigger minus smaller.

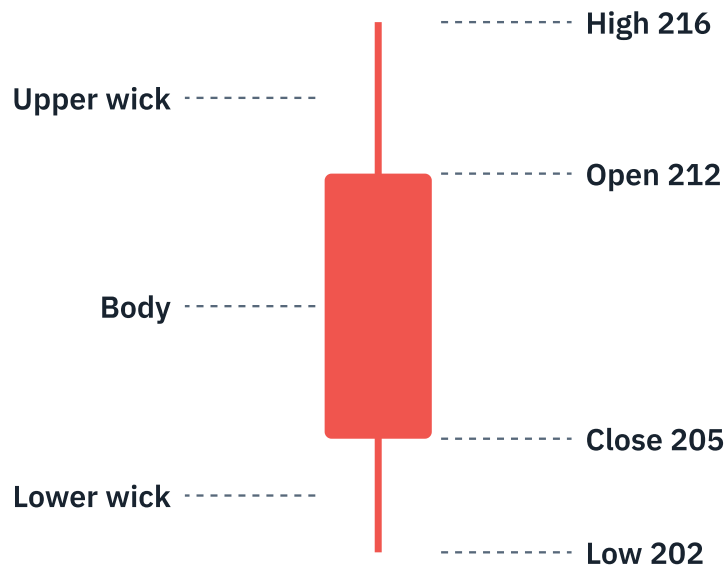
Read this	Green model	Red model	Your candle
Stock	Bharat Pumps Ltd	Anand Snacks Ltd	NIFTY 50
Yesterday's close	Rs 500	Rs 200	
Open	Rs 480	Rs 212	
High	Rs 494	Rs 216	
Low	Rs 474	Rs 202	
Close	Rs 490	Rs 205	
Colour: close vs its own open	Green ($490 > 480$)	Red ($205 < 212$)	
Top of the body	Close, Rs 490	Open, Rs 212	
Body: open to close	Rs 10	Rs 7	
Upper wick: high minus top of body	Rs 4	Rs 4	
Lower wick: bottom of body minus low	Rs 6	Rs 3	
Change vs yesterday's close	-Rs 10	+Rs 5	

Model: a red candle, labelled

Anand Snacks Ltd from the card above. On a red candle the open (Rs 212) is the top of the body and the close (Rs

205) the bottom; the stock still rose Rs 5 on the day.

ILLUSTRATIVE



Red candle: close below open

OUTCOME

By the end you can set up a free chart, tell a line, bar and candle chart apart, read any candle's open, high, low and close whether it is green or red, pick a timeframe for a reason, compare a day's volume with its average, spot a split that looks like a crash, and check an AI's chart reading instead of trusting it.

TOOLS

- TradingView free chart
- NSE website (nseindia.com)
- Notebook or Google Sheets
- A coin
- Any AI chat that accepts images

WITH YOUR BATCH

'Real or coin?': toss a coin 30 times and draw the chart on paper (start at 100, heads +5, tails -5). On a second sheet, set NIFTY 50 to a daily line chart showing about 30 days and trace its shape, with no numbers, at the same height as your coin chart. Ask classmates or family which one is real. It is often hard to tell, and that is today's lesson.

Studying on your own? Do it yourself and note what you found in your journal.

Note: Educational content only, not investment advice. Company names and chart prices are made up for illustration. AI output is analysis for learning, never a buy or sell call. No affiliation with any charting site named. Stage 1 uses virtual money only. 5 Circles Pvt Ltd · SEBI Registered Research Analyst · Reg. No. INH000020004

AI Lab

AI is the analyst; you pull the trigger. Run a prompt in any AI tool, then sort its answer into Fact, Guess and Kachra (junk).

Chart screenshot cross-check

I am attaching a screenshot of a daily candlestick chart with volume bars. I have cropped out my name, client ID, balances and holdings. Describe only what is visible, as short numbered claims I can tick or cross after checking the chart myself: (1) the chart's timeframe and date range, if you can read them; (2) the open, high, low and close of the last candle, and its colour; (3) whether the last volume bar is taller or shorter than most of the previous 20; (4) the overall direction over the visible window, in one plain sentence; (5) anything you cannot read clearly, marked 'unclear'. If the price axis or dates are cut off, say so instead of guessing numbers. Label every claim Fact (directly visible on the chart), Guess (your interpretation) or Kachra (hype, or a claim nobody can check from this image). Do not name chart patterns, do not forecast, and do not give buy or sell advice, targets or return expectations.

Candle drill

Act as a patient chart-reading tutor for an Indian beginner. Make up 5 daily candles for a fictional company, 'Bharat Pumps Ltd', each with open, high, low and close in rupees, plus the previous day's close. Make sure every high is at or above that candle's open and close, and every low at or below them. Include at least one green candle on a day when the stock still ended below the previous close, and one red candle on a day when it still ended above the previous close. For each candle, ask me one question at a time: its colour, which end of the body is the open, the size of its body, the length of its upper and lower wicks, and whether the stock was up or down for the day. Check each answer and explain any mistake in one or two lines. Use only made-up prices; do not discuss real stocks, and do not give buy or sell advice, targets or return expectations.

Crash or corporate action?

Here are 10 made-up daily closing prices, in rupees, for a fictional company, 'Gupta Cement Ltd': 1180, 1195, 1210, 1190, 1200, 601, 598, 610, 605, 612. First, ask me three questions that would help decide whether the drop on day 6 was a real fall or the result of a stock split or bonus issue. Then explain, step by step, how an adjusted price series would rewrite days 1 to 5 if it was a split in which each share became two, and show the adjusted numbers. Finally, tell me what kind of page on the NSE website lists a company's corporate actions, and label each of your statements Fact, Guess or Kachra. Do not give buy or sell advice, targets or return expectations.

The same prompts are in this day's AI Lab tab in the app, with a Copy button. Never paste your PAN, client ID, passwords, OTPs or contract notes into any AI.

Journal

Which timeframe did your eyes trust most today, and why? Write down one thing you, or an AI, 'saw' on a chart but could not actually point to.

Write your answer here, then save it in the app's Journal tab.

A chart is a record of what people already did, not a forecast. Today you learnt to read that record plainly, and every careful trader starts right here.

Quiz

Tick your answers here, then submit the quiz in the app: only the app attempt counts.

Q1. Sharma Textiles Ltd closed at Rs 250 yesterday. Today it opens at Rs 240, trades between Rs 236 and Rs 247, and closes at Rs 245. Which statement about today is correct?

- ☐ A A red candle, since it closed below yesterday's Rs 250
- ☐ B A red candle, since its low of Rs 236 is below the open
- ☐ C A green candle, even though the stock is down Rs 5 on the day
- ☐ D A green candle, and the stock is up Rs 5 for the day

Q2. Four 15-minute candles from 9:15 to 10:15 read (open, high, low, close): 200, 204, 199, 203 / 203, 206, 202, 205 / 205, 205, 198, 199 / 199, 202, 197, 201. What is the one-hour candle for 9:15 to 10:15?

- ☐ A Open 200, high 204, low 199, close 203
- ☐ B Open 200, high 206, low 197, close 201
- ☐ C Open 201, high 206, low 197, close 200
- ☐ D Open 201.75, high 206, low 197, close 201

Q3. Sharma Textiles Ltd's 20-day average volume is 4,00,000 shares. Today the price rises 5% and 3,00,000 shares trade, shown as a green volume bar. Which statement is fair?

- ☐ A Buyers outnumbered sellers, because the bar is green
- ☐ B Volume was high, since 3,00,000 is a big number of shares
- ☐ C The volume confirms the rise will continue tomorrow
- ☐ D The rise came on below-average volume: only 0.75 times

Q4. You hold 30 shares of Bharat Pumps Ltd, which trade at Rs 800. The company gives one free bonus share for every share held, and next day a raw chart shows the price near Rs 400, a 50% 'crash'. What happened to your holding?

- ☐ A 30 shares plus about Rs 12,000 in cash
- ☐ B 30 shares now worth about Rs 12,000: a 50% loss
- ☐ C 60 shares now worth about Rs 48,000: a 100% gain
- ☐ D 60 shares worth about Rs 24,000: no real loss

Q5. At 2:40 pm Aman sees five green candles in a row on a 5-minute chart, with volume bars smaller than usual. He feels sure something big is starting. What is the most reasonable reading?

- ☐ A The 5-minute chart is the right view for a swing decision
- ☐ B A 25-minute streak on thin volume can easily be chance
- ☐ C Five greens in a row show buyers have taken control
- ☐ D Small volume bars mean big buyers are quietly collecting

Trend, zones and gaps: reading price structure

Concept: Price structure: trend, support and resistance zones, breakouts and gaps

AI Lab: Grade my chart marking: AI checks, you decide

Mindset: Level ka moh: clinging to a level after it breaks

The line Aman trusted

Saturday evening. Aman shares his phone screen on a video call with the mentor and Priya.



Aman

Sir, see this. Bharat Pumps bounced from Rs 500 three times, so last month, before the course, I drew a thick line there and bought 100 shares at Rs 515. On Friday it closed at Rs 488. But 500 is strong support. It will come back, won't it?



Priya

Aman, I checked the chart. The three bounces came at Rs 503, 498 and 506, never exactly at 500. And Friday's volume was almost double the usual. Is it still support?



Mentor

Two questions, Aman. Who made that level: your line, or the people who bought there? And if they have stopped buying, what is your line holding up?



Aman

I never thought of it that way. I just trusted the line.



Mentor

Today we learn to read what price is actually doing: trend, zones, breakouts and gaps. A level is a useful map, not a promise. When it breaks, your written plan decides, not your hope.

The lesson: A support level is a memory of where people bought. It is not a promise that they will buy there again.

Learn

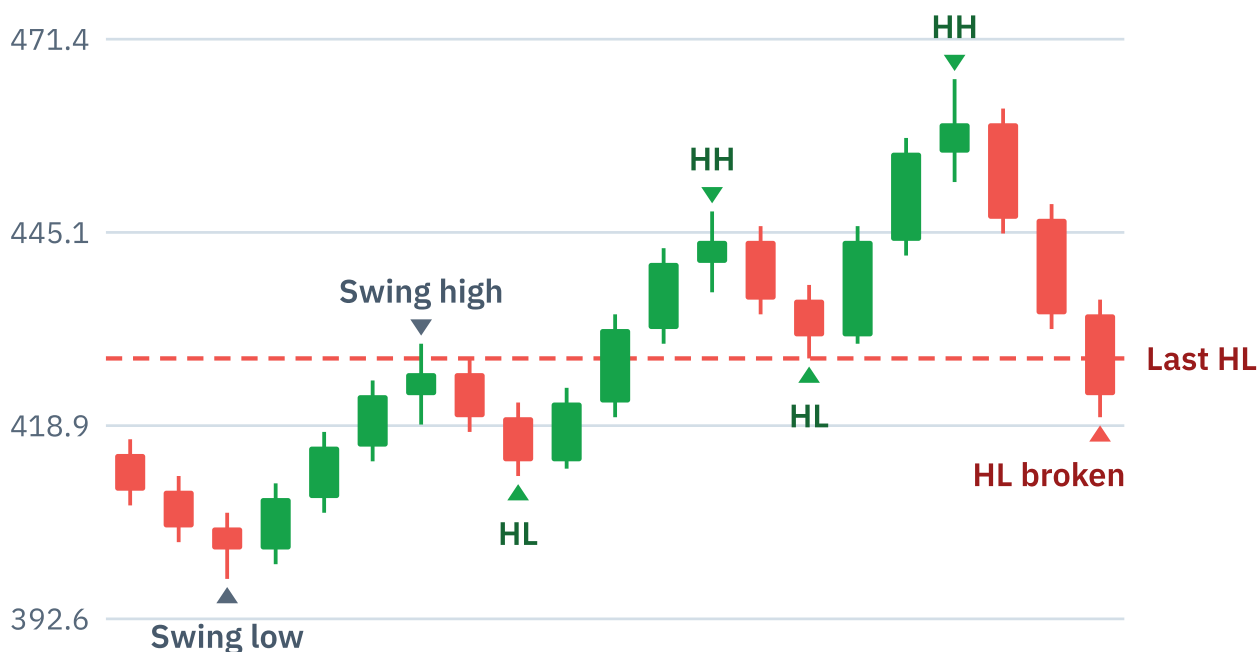
01 Swing points: the staircase of a trend

Price rarely moves in a straight line; it moves in waves. The top of a wave is a swing high: by one common rule, a candle whose high is above the highs of the two candles on each side of it. A swing low is the mirror image, at the bottom of a wave. When each swing high and each swing low is higher than the one before, you have an uptrend: higher highs (HH) and higher lows (HL). A downtrend is the reverse: lower highs (LH) and lower lows

(LL). When the highs keep stalling near one level and the lows near another, the market is sideways, or range-bound. Always name the timeframe, because a stock can be in an uptrend on the daily chart and a downtrend on the weekly.

Reading the staircase

ILLUSTRATIVE



Gupta Cement, daily. Each swing low sits above the last, until a close below Rs 428 breaks the pattern.

EXAMPLE

On Gupta Cement Ltd's daily chart, the swing lows came at Rs 398, 412 and 428, and the swing highs at Rs 430, 448 and 466. Each low was higher than the one before, and so was each high: an uptrend. Then one day it closed at Rs 423, below the last higher low of Rs 428. That does not make it a downtrend yet. It means the staircase has broken, and the uptrend is now in question.

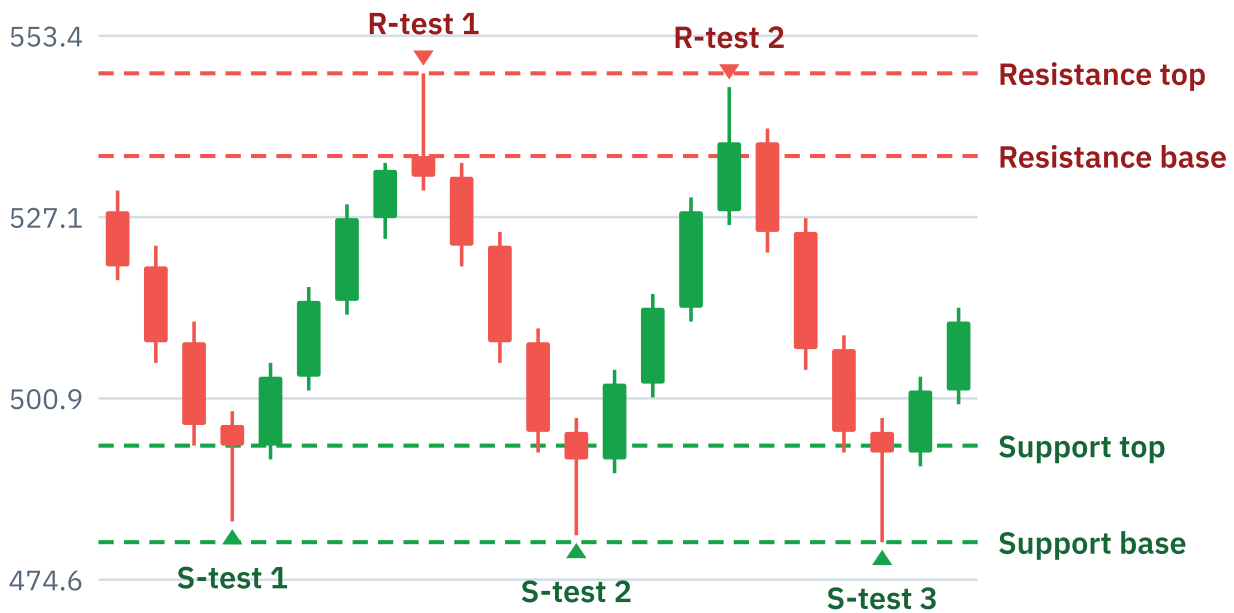
Remember: Uptrend = higher highs and higher lows. A close below the last higher low puts the trend in question.

02 Support and resistance: zones, not lines

Support is a price area where falling prices have stopped and turned up before, because buyers stepped in. Resistance is an area where rising prices have stopped and turned down, because sellers stepped in: think of a floor and a ceiling. They are zones, not exact lines, because buyers do not all wait at one rupee; so draw a band over the cluster of wicks where price turned. A test is when price enters the zone and turns away. More tests make a level better known, though each test may also use up some of the buyers or sellers waiting there. As a rough rule, a zone is usually no wider than one ordinary day's range; Day 8 gives you a ruler for this, called ATR.

A range with two zones

ILLUSTRATIVE



Sharma Textiles, daily. Three tests of support and two of resistance, never at the same rupee twice.

EXAMPLE

At the sabzi mandi in a normal week, when tomatoes fall to about Rs 20 a kilo, dhaba and hotel buyers pick up extra crates, so the price stops falling. Near Rs 30, families buy less and farmers bring more, so it stops rising. The price moves around inside that band, never pinned to one exact rupee. Sharma Textiles Ltd did the same for about five weeks. It turned up from Rs 483, 481 and 480, and turned down from Rs 548 and 546; the long lower wicks of those turns sit at Rs 480-494 (support), and the long upper wicks at Rs 536-548 (resistance). A single line drawn at Rs 485 would have been pierced by all three bounces.

Remember: Draw support and resistance as bands over the wicks where price actually turned, not as one magic number.

03 When a level breaks: real, false, and role reversal

A breakout is price leaving a zone: up through resistance, or down through support, which is often called a breakdown. Many breakouts fail: price pokes out, then falls back inside the zone, and this is called a false breakout, or fake-out. Three checks help you tell them apart: did a candle close beyond the zone rather than just poke a wick through, was volume clearly above its average (Day 5), and did price hold when it came back to test the zone? After a real break, the old ceiling often becomes the new floor, and the old floor the new ceiling. This is called role reversal. It is commonly seen, but it is still a probability, not a rule.

Fake-out, real break, retest

ILLUSTRATIVE



Sharma Textiles, daily, after the range (made-up). The fake-out poked to Rs 556 but closed at Rs 538, inside the zone, on 1.6 lakh shares against a 2.0 lakh average. Two weeks later a close at Rs 562 came on 5.2 lakh shares, 2.6 times the average. A week after that, price dipped to Rs 547, inside the old ceiling, and turned up: this time, role reversal.

EXAMPLE

Sharma Textiles' resistance zone was Rs 536-548. One day it poked up to Rs 556 but closed at Rs 538, back inside the zone, on 1.6 lakh shares against a 20-day average of 2.0 lakh: a fake-out. Two weeks later it closed at Rs 562 on 5.2 lakh shares, 2.6 times the average. A week after that it dipped to Rs 547, into the old resistance zone, and turned up again. This time, the old ceiling acted as a floor.

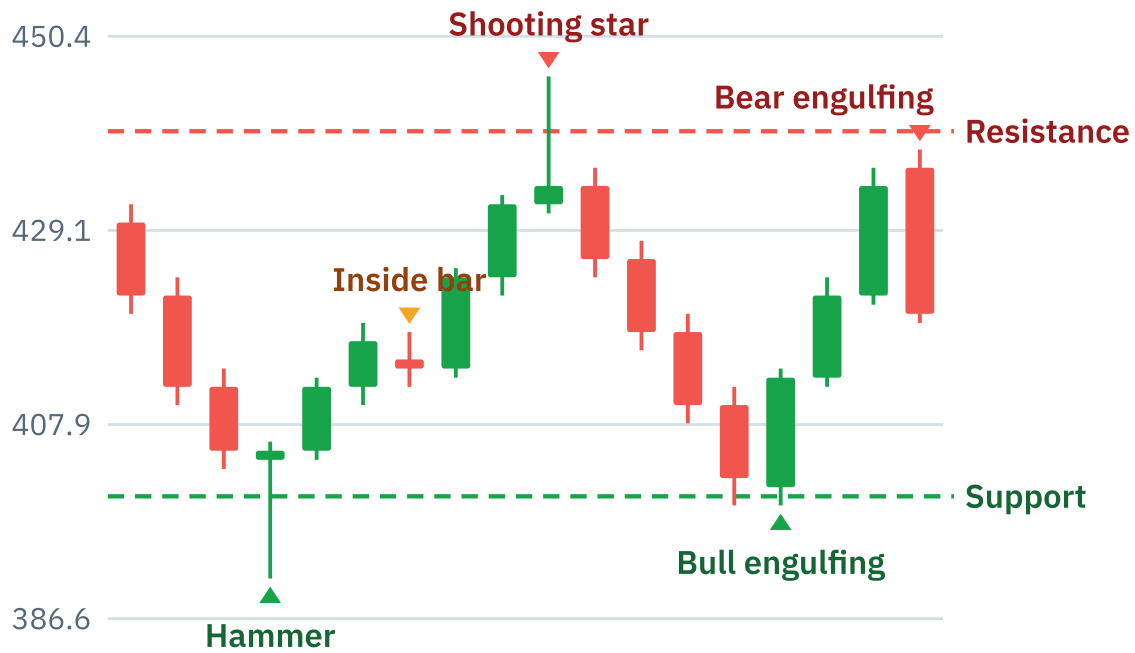
Remember: A wick is not a breakout. Look for a close beyond the zone, above-average volume, and a retest that holds.

04 Five candle patterns, and why context matters

On Day 5 you read single candles: as rules of thumb, a long body suggests one side was in control, and a long wick shows price reached a level and was pushed back from it. Now learn just five patterns; 'bullish' means pointing to a rise, 'bearish' to a fall. Bullish engulfing: after a fall, a green body fully covers the previous red body; bearish engulfing is the mirror, after a rise. Hammer: after a fall, a small body near the top of the candle and a lower wick at least twice the body; the shooting star is its mirror, after a rise. Inside bar: the whole candle, high to low, sits within the previous candle's range, a pause. Alone, a pattern means little; at a tested zone it becomes a clue worth noting, and above-average volume or a bigger trend in the same direction makes that clue stronger.

The five, drawn in context

ILLUSTRATIVE



A made-up daily chart. The hammer and the bullish engulfing came after falls into the support area near Rs 400; the shooting star and the bearish engulfing came after rises into the resistance area near Rs 440; the inside bar, a pause, sat mid-range. Each is a clue in that place, never a certainty. Definitions are in the key terms.

EXAMPLE

Look again at Sharma Textiles' third test of support. That candle opened at Rs 496, fell to Rs 480 and closed at Rs 493, with a high of Rs 498. Body: Rs 3. Lower wick: Rs 13, more than four times the body. Upper wick: Rs 2. The candle is red, since it closed below its open, and its lower wick runs from the close, Rs 493, down to Rs 480. A hammer can be red or green; the shape is what counts. That is a hammer, and it sits inside a tested support zone, which is what gives it meaning. Above-average volume that day would make the clue stronger. The same candle in the middle of the range would have said very little; and even here it is a clue, not a signal to buy.

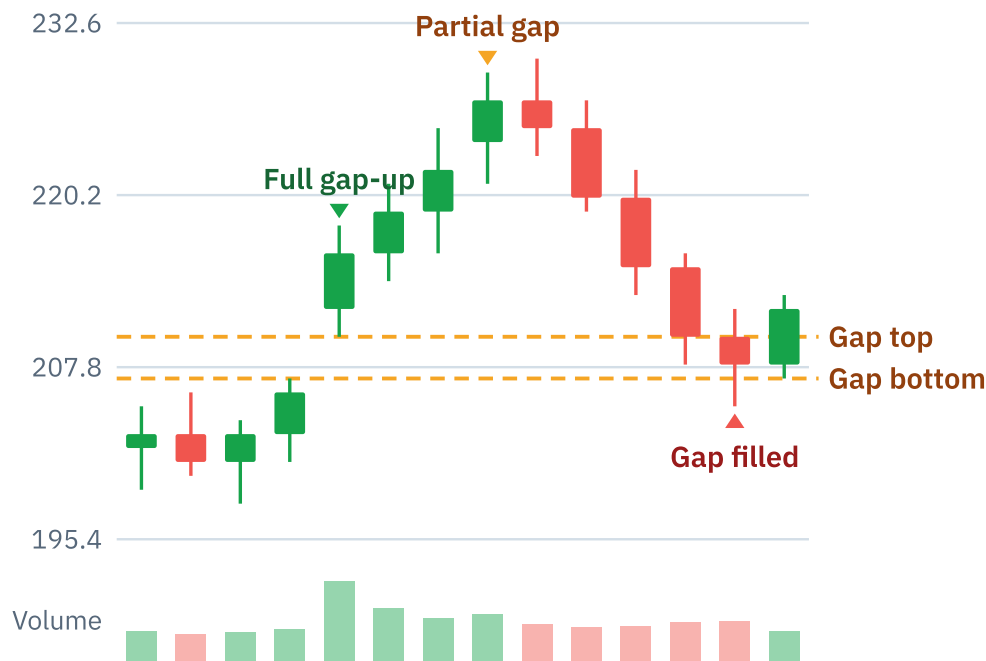
Remember: A pattern alone is noise. At a tested zone it becomes a clue; volume and the bigger trend can make it stronger.

05 Gaps: four types and one impostor

A gap is an empty space on the chart where no trade took place. In a full gap-up, today's low is above yesterday's high; in a full gap-down, today's high is below yesterday's low. When price later comes back and trades through that empty space, the gap is said to be 'filled'. Chartists name four types: a common gap inside a sideways range, often filled soon; a breakaway gap that leaves a range, often on high volume; a runaway gap in the middle of a strong move; and an exhaustion gap late in a long move, often filled quickly. You can usually name a gap only afterwards, so treat your label as a guess until price confirms it. And a gap on the ex-date of a bonus, split or large dividend (the first day the share trades without that benefit) is mechanical, not the market's verdict: that is the impostor.

Full gap, partial gap, gap filled

ILLUSTRATIVE



A made-up daily chart. Candle 5 opened with a full gap-up: its low (Rs 210) stayed above the previous high (Rs 207), on about 2.5 times the usual volume, so on the day it looked like a breakaway gap. Candle 8 only opened above the previous close and traded back into the previous range: a partial 'news' gap-up, not a full gap. By candle 13 price had traded back through Rs 207-210: the gap was filled, so in hindsight 'breakaway' was the wrong label. The four textbook names are common, breakaway, runaway and exhaustion.

EXAMPLE

Remember the 'crash that never happened' from Day 5? It also shows up as a gap. Kiran Foods Ltd closes at Rs 640 the day before the ex-date of a 1:1 bonus, and on the ex-date it opens near Rs 320. On an unadjusted chart a beginner sees a huge gap-down and calls it a breakaway gap. But a holder of 50 shares worth Rs 32,000 ends up with 100 shares at about Rs 320, still about Rs 32,000. Before you name any big gap, switch to an adjusted chart and check the corporate-actions page on the NSE website; Day 15 covers these events in full.

Remember: Name a gap only in hindsight, and rule out a corporate action before you read anything into it.

06 Level ka moh: when your level breaks

Level ka moh means falling in love with a price level. You bought because 'Rs 500 always holds', and when price closes below the zone, you tell yourself it will come back. But a level is only a memory of where people bought or sold; when they stop defending it, the level is gone. So write your exit before you enter, for example: 'If a daily candle closes below the zone, I exit.' Then follow it, whatever you feel that evening. Many traders also keep a stop-loss order a little lower, under the zone's lowest swing low, in case price falls hard during the day; Day 9 and Day 11 show where the course puts its stop. Price can also jump instead of walk. A gap-down open can start below your stop-loss. And a stock locked at its lower price band (Day 1), called a 'lower circuit', has sellers queued and almost no buyers, so your sell order can stay stuck all day. On the chart, such a day often looks like a flat dash. That is why Day 9 sizes every position so that even such a day stays survivable.

What the moh would cost Aman

Held to Rs 452: 100 x Rs 63	Rs 6,300
- Exit at Rs 488 close: 100 x Rs 27	Rs 2,700
= Extra cost of level ka moh	Rs 3,600

Before costs, and taking the exit at about the Rs 488 close: the rule would have cost about Rs 2,700; the hope would cost Rs 6,300.

EXAMPLE

Aman bought 100 shares of Bharat Pumps Ltd at Rs 515 because support had held three times, at Rs 503, 498 and 506, a zone of roughly Rs 498-510. On Friday it closed at Rs 488, below the zone, on 3.8 lakh shares against a 2.0 lakh average. A written exit rule would have taken him out near that close; his moh says wait. Suppose he waits: two weeks later it bounces to Rs 505, stalls inside the old support zone, then slides to Rs 452, where he finally sells. The calculation shows what that moh would cost him.

Remember: A level is a memory, not a promise. When it breaks on a close, your written plan decides, not your hope.

Words from today

Swing high / swing low

The top or bottom of a price wave. A simple rule: a high above the highs of the two candles on each side (a swing low is the mirror). You can confirm it only after two more candles have closed.

HH / HL and LH / LL

Higher highs and higher lows mark an uptrend; lower highs and lower lows mark a downtrend.

Support / resistance zone

A price band where buyers (support) or sellers (resistance) have turned price before. A band, not one exact price.

False breakout (fake-out)

Price pokes out of a zone, then closes back inside it, often on thin volume.

Role reversal

After a real break, old resistance may act as support, and old support as resistance. A probability, not a rule.

Gap

An empty space on the chart: today's low above yesterday's high (gap-up), or today's high below yesterday's low (gap-down). News often calls any open above yesterday's close a 'gap-up'.

Bullish / bearish engulfing

A two-candle pattern. Bullish: after a fall, a green body fully covers the previous red body. Bearish: after a rise, a red body fully covers the previous green body.

Hammer, shooting star, inside bar

Hammer: after a fall, a small body near the top and a lower wick at least twice the body. Shooting star: its mirror after a rise, with the long wick on top. Inside bar: a candle whose high and low stay within the previous candle's range, a pause; wait for the next candle.

Recap map

Recap

Trend

Swing highs and lows
 $Up = HH + HL$
 $Down = LH + LL$
Always name the timeframe

Zones

Floor and ceiling
A band, not one rupee
More tests, better known

Breaks

A close beyond, not a wick
Volume above average
Role reversal is a probability

Reading price structure

Five candles

Engulfing, bullish and bearish
Hammer and shooting star
Inside bar = pause
Matter most at a zone

Gaps

Common, breakaway, runaway, exhaustion
Named in hindsight
Check corporate actions

Your mind

Level ka moh
A level is a memory
Gaps and circuit locks can jump stops

Today's task

35 min

Mark one chart's structure by hand, write it on the Chart marking sheet, then let AI grade it. Core: one NIFTY 50 chart, about 35 minutes. Optional stretch: repeat on BANKNIFTY and on the weekly NIFTY 50 chart later this week, about 30 minutes more.

- ☐ Open a free TradingView chart of NIFTY 50 on the daily timeframe, showing about six months of candles.
- ☐ With the text tool, label the last four swing highs and four swing lows as HH, HL, LH or LL, comparing each with the swing just before it. On a phone, turn it sideways. Drawing tools too fiddly? Take a screenshot and write the labels with your phone's photo-markup (edit) tool instead.
- ☐ Mark one support zone and one resistance zone as bands over the wicks where price turned: with the rectangle tool in TradingView, or as boxes in the photo-markup tool.

- ☐ Find one full gap (today's low above yesterday's high, or today's high below yesterday's low) and write its date and your guess of its type with a question mark, for example 'breakaway?'. If there is none in six months, write 'no full gap' and mark the biggest opening jump instead.
- ☐ Copy each label, both zones and the gap, with its date and price, into the Chart marking sheet below; the Gupta Cement rows show how.
- ☐ Take a screenshot with the price scale and dates visible, crop out your name and any account details, and run the AI Lab prompt 'Grade my chart marking'. If your AI chat cannot take images, paste your marking sheet instead. Where the AI disagrees, look at the chart again yourself before accepting either view.

YOUR TEMPLATE

Chart marking sheet

Model rows: Gupta Cement's staircase from the first topic, then one zone and one gap from today's other charts (candles counted from the left). Your rows: four swing highs, four swing lows, one support zone, one resistance zone and one gap from your NIFTY 50 chart, with dates.

What	Candle or date	Price	Label
Swing low	3	Rs 398	-
Swing high	7	Rs 430	-
Swing low	9	Rs 412	HL
Swing high	13	Rs 448	HH
Swing low	15	Rs 428	HL
Swing high	18	Rs 466	HH
Close below the last HL	21	Rs 423	Trend in question
Support zone (Sharma Textiles)	4, 13, 21	Rs 480-494	3 tests
Full gap-up (gap chart)	5	Rs 207-210	breakaway?

What	Candle or date	Price	Label

OUTCOME

By the end you can mark swing points and name a trend, draw support and resistance as zones, test a breakout with a close and volume, spot five candle patterns in context, name the four gap types, and let go of a level that has broken.

TOOLS

- TradingView free chart
- NSE website (nseindia.com)
- Phone screenshot and markup tool
- Any AI chat

WITH YOUR BATCH

Five-pattern hunt (15 minutes): screenshot about six months of the NIFTY 50 daily chart. In your phone's photo-markup tool, circle one example each of bullish engulfing, bearish engulfing, hammer, shooting star and inside bar, and write Z beside each one that sits inside a zone you drew, M beside each one in mid-range. Score 1 point per correct pattern (check it against the key terms) and 1 more per honest Z. With friends, swap screenshots and check each other's circles; alone, repeat it next weekend and try to beat your score. Most people find that only one or two of their patterns sit at a zone, and that is the lesson.

Studying on your own? Do it yourself and note what you found in your journal.

Note: Educational content only, not investment advice. Company names and chart prices are made up for illustration. Patterns and levels are probabilities, never certainties. No affiliation with any charting site named. Stage 1 uses virtual money only. 5 Circles Pvt Ltd · SEBI Registered Research Analyst · Reg. No. INH000020004

AI Lab

AI is the analyst; you pull the trigger. Run a prompt in any AI tool, then sort its answer into Fact, Guess and Kachra (junk).

Grade my chart marking

I am attaching a screenshot of a daily or weekly chart of an Indian index (NIFTY 50 or BANKNIFTY); I will tell you which. If I cannot attach an image, I will type my labels with their dates and prices instead. On it I have marked swing highs and swing lows (labelled HH, HL, LH or LL), one support zone and one resistance zone drawn as rectangles, and one gap with my guess of its type. Grade my marking on five points, each out of 5 with one sentence of reason: (a) are my swing points the obvious ones, using the rule that a swing high is above the highs of the two candles on each side (a swing low is the mirror); (b) is my trend label consistent with those swings; (c) are my zones bands that cover where price actually turned, rather than single lines; (d) did I miss a zone that price tested more often; (e) is my gap label a reasonable guess, remembering that gap types are usually clear only in hindsight. Label each of your comments Fact (visible on the chart), Guess (your interpretation) or Kachra (if I have written a popular myth). If you cannot read part of the image clearly, say so instead of guessing. Then give me one thing to redo. Do not forecast where the price will go next, do not give buy or sell advice, and do not mention targets or expected returns.

Real or fake breakout? Practice round

Create 6 practice scenarios for a beginner, using made-up company names only. In each, a stock reaches a support or resistance zone: give the zone (for example Rs 536-548), that day's high, low and close, the day's volume and the 20-day average volume. Show me one scenario at a time and ask me to judge it as a likely real breakout, a likely false breakout (fake-out), or too early to tell. After each answer, explain using three checks: did the candle close beyond the zone, was volume clearly above average, and what a retest of the zone would need to show. Remind me that every judgement is a probability, not a certainty. Do not use real stock names, do not give buy or sell advice, and do not mention targets or expected returns.

Level ka moh check

Act as a calm trading-psychology coach. Ask me 5 short questions, one at a time, about how I behave when a price level I trusted breaks: whether I move or remove my stop-loss, whether I buy more at a lower price to 'average down' my cost, what I tell myself, and how long I wait before admitting the level has failed. After my answers, summarise in plain words where 'level ka moh' (emotional attachment to a price level) shows up in my thinking, and help me write one exit rule for paper trading in the form 'If a daily candle closes below my zone, I will...'. Label any general claim you make about trader behaviour as Fact, Guess or Kachra. Do not ask for personal or financial details, do not suggest any stock, and do not give buy or sell advice, targets or return expectations.

The same prompts are in this day's AI Lab tab in the app, with a Copy button. Never paste your PAN, client ID, passwords, OTPs or contract notes into any AI.

Journal

Recall something you held on to after it had clearly stopped working: a price, a plan, your hopes for a cricket team, anything. What made letting go hard? Then write, in one line, the exit rule you will follow when a zone breaks on a close.

Write your answer here, then save it in the app's Journal tab.

Levels are made by people's decisions, not by the lines we draw. Reading them as zones, and letting go when they break, is where humility in trading begins.

Quiz

Tick your answers here, then submit the quiz in the app: only the app attempt counts.

Q1. On a daily chart, a stock's swing points in order are: low Rs 400, high Rs 440, low Rs 418, high Rs 455, low Rs 431, high Rs 470. What is the trend on this timeframe?

- ☐ A Can't tell yet: a trend needs at least ten swings
- ☐ B Downtrend: every rise is followed by a fall
- ☐ C Uptrend: the highs and the lows both keep rising
- ☐ D Sideways: highs and lows stay near the same levels

Q2. Kiran Foods has a resistance zone at Rs 312-320. Today it touched Rs 327 but closed at Rs 314, on 0.9 lakh shares against a 20-day average of 1.2 lakh. What is the most reasonable reading?

- ☐ A The zone no longer counts, as a wick went through
- ☐ B A likely fake-out: no close above the zone, weak volume
- ☐ C A new uptrend, since the zone has been crossed
- ☐ D A confirmed breakout, since it touched Rs 327

Q3. After a fall, Gupta Cement forms this candle inside a tested support zone: open Rs 430, high Rs 433, low Rs 418, close Rs 432. What is it?

- ☐ A A hammer: lower wick is six times the body
- ☐ B A red candle, because it fell to Rs 418 first
- ☐ C No pattern, because the body is only Rs 2
- ☐ D A shooting star: long wick and a small body

Q4. Sharma Textiles closes at Rs 600. The next morning is the ex-date of a 1:1 bonus, and on an unadjusted chart it opens near Rs 300. What is this gap?

- (A)** A mechanical bonus gap, not a real crash
- (B)** An exhaustion gap that ends the whole uptrend
- (C)** A breakaway gap caused by heavy panic selling
- (D)** A common gap that will be filled in days

Q5. Suppose Aman had written this rule before buying: exit if Bharat Pumps closes below its support zone of Rs 498-510. It closes at Rs 488 on almost double its average volume, and he says, 'It has held three times; I will give it a few more days.' What is Aman's decision an example of?

- (A)** Level ka moh: hope overriding the rule he wrote
- (B)** Role reversal: the zone will now act as support
- (C)** Patience: a zone tested three times will hold
- (D)** Discipline: he is firmly sticking to his first view

Week 1 review and Shortcut Trap #1: audit the tips

Concept: Week 1 review, auditing tips, and protecting yourself from scams

AI Lab: Audit 20 practice tips: you count, AI checks

Mindset: The shortcut mindset

'80% accuracy, only 10 seats left'

Sunday evening, the end of Week 1. On the class video call, Aman shares a WhatsApp message he got that morning.



Tip-wala

Last month: 12 targets hit! 80% accuracy! Sure-shot calls every morning. VIP group only Rs 4,999, just 10 seats left. Join today, from tomorrow the fee doubles.



Aman

Sir, this is not like Day 3's 'seven out of eight'. It is 80% over a whole month. Rs 4,999 once, and someone else does the hard work.



Priya

80% of what, though? 12 hits at 80% means he is counting only 15 calls. Were there really only 15?



Aman

Priya, you want proof for everything. What is wrong with a shortcut? Everyone wants to get there faster.



Mentor

Aman, where are the calls that failed? A scoreboard that shows only wins is an advert, not a record. I built a practice set with the same scoreboard, 12 'wins' in 15 posts, and kept the five posts a channel like this deletes. Audit all 20 today, then decide.

The lesson: A shortcut that hides its losses is the longest road. Before trusting any number, ask to see every call.

Learn

01 Week 1 in five questions

This week you learned the language of the market. Today you test it on the thing beginners meet most often: a tip, a message telling you what to buy or sell, usually with a price and a target. Ask any tip the five questions below; each one comes from a day of Week 1. If one question still feels shaky, reread that day before Quiz Game 1, the Week 1 exam. Quiz Game 1 is a separate test, not this lesson's own 5-question quiz.

One tip, five questions

Day 1

Who is sending it?

SEBI-registered, or a stranger?

Day 2

Will it fill, at what cost?

Order type, spread, charges

Day 3

Does the maths work?

Stop, reward vs risk, breakeven

Day 4

Fact, Guess or Kachra?

Check before you trust

Day 5-6

What does the chart say?

Candles, volume, trend, zones

If a question feels shaky, reread that day before Quiz Game 1.

EXAMPLE

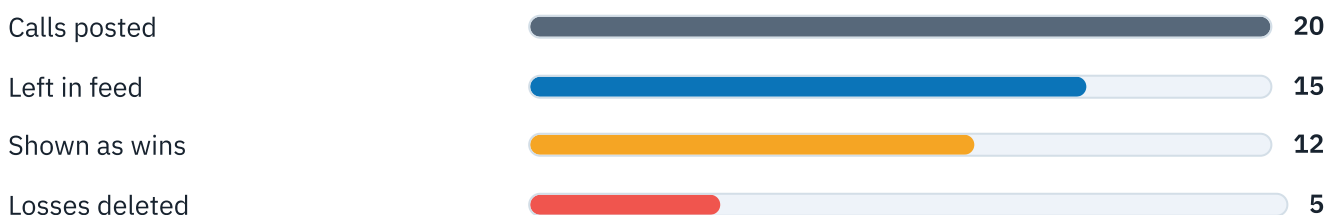
A forward says: 'Kiran Foods Ltd, buy at Rs 200, target Rs 210.' Who sent it, and is that person SEBI-registered? Will your order fill near Rs 200, and how much of the Rs 10-a-share move to the target will charges eat? Where is the stop, and what is the reward compared with the risk? Which parts are Fact, Guess or Kachra, and do the chart, the volume and the nearest support zone agree? This tip has no stop at all, so it fails the third question before you even open a chart.

Remember: Ask the five questions before you ask how much you could make.

02 Shortcut Trap #1: the scoreboard that hides its losses

The shortcut mindset is the wish to skip the learning and borrow someone else's answers, and tips channels sell exactly that wish. Their scoreboard suffers from survivorship bias: you see only what survived, not everything that happened. (You will meet it again on Day 17, in backtests.) Losing calls are deleted, calls without a stop stay 'running' until they recover, and only the wins get screenshots. So a channel can show a high accuracy while its full record loses money. The honest route is slower: a tested rule and a checklist, which you start building in Week 2.

Posted vs shown



12 wins in 15 visible posts looks like 80%. The 5 deleted losses never enter the count.

EXAMPLE

A coaching centre's hoarding says 'Our 50 selections!' It does not say that 5,000 students enrolled, a 1% success rate. The mentor's practice set copies this trick. Its make-believe channel posted 20 calls in a month and deleted the 5 posts that had clearly hit their stop. The 15 posts left included 12 'target hit' screenshots, so the month-end banner said '80% accuracy' ($12 \div 15$). Anyone who joined later never saw the five losses.

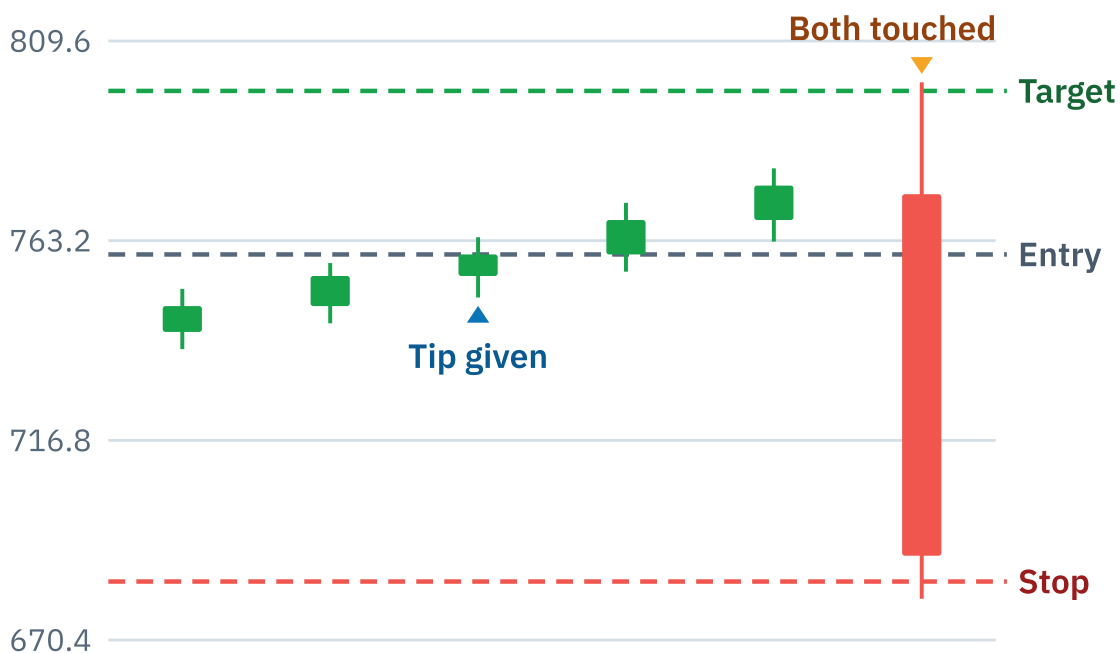
Remember: If you cannot see every call and its stop, the accuracy number means nothing.

03 The audit: four fields and two rules

An audit means checking every record yourself instead of trusting the summary. For each call, note four fields: entry, stop-loss, target and outcome. Rule one: a call with no stop is unmeasurable, because R (Day 3) is the gain or loss divided by the planned risk from entry to stop, and without a stop there is nothing to divide by; count these calls separately, as a finding. Rule two: a daily candle shows the day's high and low but not which came first, so if one candle touched both the target and the stop, count a stop hit. Strict rules stop you from auditing in the channel's favour.

Call G: both touched in one day

ILLUSTRATIVE



A daily candle shows the high and the low, not which came first. The strict audit counts the stop.

EXAMPLE

Call G in the practice set: entry Rs 760, stop Rs 684, target Rs 798. The risk is Rs 76 and the reward is Rs 38, so a target hit earns $+0.5R$ and a stop hit costs $-1R$. Three days after the tip, one wide daily candle made a high of Rs 800 and a low of Rs 680. The channel posted it as 'target hit'. Your audit records $-1R$, because nobody can prove the target came first.

Remember: No stop, no R. Target and stop on one candle? Count the stop.

04 The result: 80% shown, 60% real, and still losing

Apply both rules to all 20 practice calls (the full set is under 'Your template' in today's task; do the task first if you want to test yourself). Five had no stop, so 25% of the channel's calls cannot be measured at all. Of the 15 measurable calls, 9 hit the target and 6 hit the stop: a hit-rate of 60%, not 80%. Each of the 15 calls with a stop set its target 5% away and its stop 10% away, so a win earns +0.5R and a loss costs -1R, a 1:0.5 payoff. Day 3's formula gives a breakeven win-rate of $1 \div (1 + 0.5)$, about 67%, so 60% loses money even before costs.

The audit in R

9 target hits x 0.5R	+4.5R
- 6 stop hits x 1R	6.0R
= Net over 15 calls	-1.5R
÷ Measurable calls	15
= Average per call	-0.1R

At Rs 10,000 per R, that is -Rs 15,000 over 15 calls, before charges. Breakeven needed about 67% wins; the audit found 60%.

EXAMPLE

Three of the channel's 12 'wins' fall away: the 'both touched' day, and two calls that touched their target but never had a stop. Now count it in rupees. If each call risked 1R = Rs 10,000 (1% of the Rs 10 lakh challenge capital), 9 wins add Rs 45,000 and 6 losses take away Rs 60,000: a net loss of Rs 15,000 before charges. Of the five no-stop calls, two reached their target, one only after first falling 25%; the other three are still down 14% to 26%.

Remember: A hit-rate without the payoff is half a number. Ask for both, on every call.

05 Red flags: fake apps and WhatsApp 'investment groups'

Tips are often only the first step of a bigger trap. In a common pattern, a stranger adds you to a WhatsApp or Telegram group where a 'professor' posts big profits, then asks you to install an app or open a 'VIP institutional account' that no SEBI-registered broker runs. The app shows fast profits, but when you try to withdraw, you are told to pay a 'fee' or 'tax' first. Fake apps often copy a real broker's name and logo, so check before you install any trading app: find the broker on SEBI's list of registered stock brokers or in the NSE or BSE member directory, then install only from the official Google Play or App Store listing whose developer (publisher) is that same registered broker; the broker's own website should link to that listing. Never install an app from an APK file or from a link sent on WhatsApp, Telegram or SMS. Another pattern is pump-and-dump:

a group hypes a small, thinly traded share so members buy, while the operators, the people running the scheme, sell to them at the top. Learn the red-flag words, quoted here as scam wording so you can spot them: 'sure-shot', 'jackpot', '100% accuracy', 'operator news', 'upper circuit pakka', 'limited seats'.

Scam pattern vs registered broker

Scam pattern

- A stranger adds you to a group
- App sent as a link or APK file
- Money goes to a person's account
- Fee demanded before withdrawal
- UPI to a random personal ID

Registered broker

- You choose it and open the account
- Official store app; publisher matches SEBI's list
- Money only to an account in its name
- Your funds paid back to your bank
- UPI? Its ID has '@valid'

Any one point in the left column is reason enough to stop.

EXAMPLE

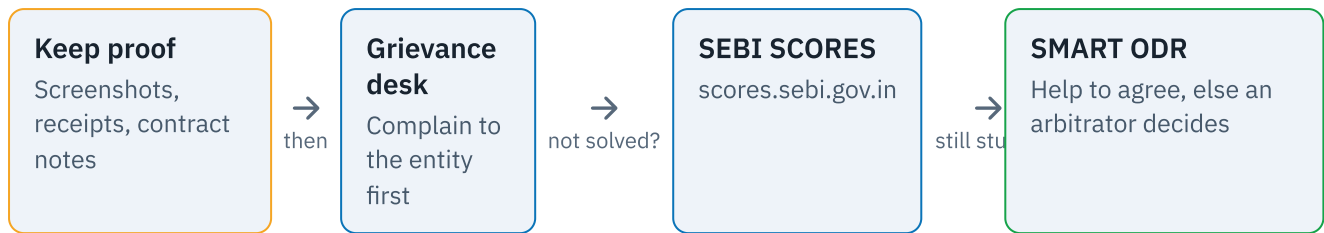
Aman's colleague is added to such a group and sends Rs 50,000 to a bank account in a person's name. Two weeks later the app shows Rs 1,80,000. When he asks to withdraw, the 'support team' wants a 20% 'release fee', Rs 36,000, first. That balance was only a number on a screen. A registered broker accepts money only from your own bank account, into an account in the broker's name (by UPI, only to an ID containing '@valid'), and never asks for a 'fee' or 'tax' up front to release your own money.

Remember: Asked to pay more to get your own money out? Stop paying and report it at once.

06 Verify first, then complain the right way

In India, anyone who gives buy or sell advice or stock recommendations for a fee needs a SEBI registration, usually as an Investment Adviser (number starts with INA) or a Research Analyst (number starts with INH). Check them on SEBI's own website: the name and number must match, and the fee must go to an account in that registered name. If a registered broker, adviser or listed company does not fix your problem, complain at its grievance desk first. If that fails, the usual next step is SEBI's SCORES portal. You can also take the dispute to SMART ODR, the market's online dispute resolution portal, straight after the grievance desk or after SCORES. For fraud by people who were never registered, report at cybercrime.gov.in or call 1930. Before paying anyone, check their UPI ID or bank account on SEBI's 'SEBI Check' tool, and check the SEBI site for the latest process.

When a registered entity lets you down



SMART ODR can also follow the grievance desk directly. Fraud by unregistered people: report at cybercrime.gov.in or call 1930. Check the SEBI site for the latest process.

EXAMPLE

Priya finds an Instagram page selling 'RA-certified calls' for Rs 9,999 by UPI. The page shows an INH number. On sebi.gov.in, that number belongs to a firm with a different name in another city, so the page is borrowing someone else's registration. Priya pays nothing, sends no message, saves screenshots and reports the page on Instagram and at cybercrime.gov.in. If her own broker ever charged her wrongly and ignored her, the path would be different: the broker's grievance desk first, then SCORES or SMART ODR.

Remember: Registered means checkable and answerable. Check before you pay, not after you lose.

Words from today

Survivorship bias

Judging from only what survived, such as a channel's kept wins, while the losses quietly disappear from view.

Hit-rate

Day 3's win-rate, applied to tips: the share of calls that reached the target, counted only on calls that had a stop. It means little without the payoff.

Unmeasurable call

A call with no stop-loss. With no planned risk, its result cannot be counted in R, so it is reported separately.

Pump-and-dump

A group hypes a small, thinly traded share so others buy, while the operators sell to them at the top.

SCORES

SEBI Complaints Redress System: SEBI's online complaints portal for problems with registered entities and listed companies, usually used after the entity's own grievance desk.

SMART ODR

The securities market's online dispute resolution portal. When the entity's grievance desk (or SCORES) has not solved a complaint, a conciliator first helps both sides agree; if that fails, an arbitrator decides.

APK (sideloaded app)

An app file installed from a link instead of the official Google Play or App Store listing. Fake trading apps spread this way; install a broker's app only from the store listing that the broker's own website points to.

Recap map

Recap

Five questions

Who sent it?
Fill, cost, maths?
Fact, Guess or Kachra?
What does the chart say?

Survivorship

Losing posts get deleted
No-stop calls stay 'running'
Ask to see every call

Audit rules

Entry, stop, target, outcome
No stop = unmeasurable
Both touched = stop hit

Week 1 review + Shortcut Trap #1

The numbers

Shown 80%, audited 60%
Breakeven about 67%
Average -0.1R per call

Scam radar

Group, app, personal
account
Pay first to withdraw = fraud
Learn the red-flag words

Protect yourself

Check INA / INH on
sebi.gov.in
Grievance desk, SCORES,
SMART ODR
Fraud: cybercrime.gov.in,
1930

Today's task

50 min

Audit the mentor's 20 practice tips, check one SEBI registration and one trading app, write your Week 1 review in the journal, then take Quiz Game 1.

- ☐ Open the two Practice set tables below and fill the last column for all 20 calls, on paper or in a Google Sheet copy: +0.5R for a target hit, -1R for a stop hit or a 'both touched' day, 'unmeasurable' where no stop was given, plus any red flag you spot.
- ☐ Work out three numbers: the hit-rate on calls with a stop, the average R per measurable call and the share of calls with no stop. Check your working with the AI Lab prompt 'Audit the practice set', or against 'The result' topic above if you have no AI chat.
- ☐ On sebi.gov.in, search for 'Recognised Intermediaries', open the Research Analyst or Investment Adviser list, and check one adviser or 'guru' you have seen online (or INH000020004 if you have none): match the name and the number. Do not message them.
- ☐ Check one trading app you use or have heard of (no account needed): on its official Google Play or App Store listing, read the developer (publisher) name, then find that name in SEBI's list of registered stock brokers (Recognised Intermediaries) or in the NSE or BSE member directory (a small difference such as 'Ltd' for 'Limited' is normal; if the publisher is a different company, check that the broker's own website links to that exact store listing). Never install an app from an APK file or a link someone sent you.

- ☐ In today's journal, choose 'Weekly review' as the entry type and answer the Week 1 review template below, including one line on when you would use SCORES (scores.sebi.gov.in), SMART ODR (smartodr.in) or 1930. This review counts towards your certificate.
- ☐ Finish with Quiz Game 1, the Week 1 exam, once the five Week 1 questions feel easy. It is not counted in today's 50-minute task, but attempting all three weekly Quiz Games is one of the certificate checks.

YOUR TEMPLATE

Practice set, calls A to J

A mentor-made set from a make-believe channel; the calls are placeholders, not real stocks. Every stop here is 10% below entry and every target 5% above.

Call	Entry (Rs)	Stop (Rs)	Target (Rs)	What happened	Your R / red flag
A	200	180	210	Target hit	
B	480	432	504	Stop hit; post deleted	
C	120	108	126	Target hit	
D	1000	900	1050	Target hit	
E	340	306	357	Stop hit; post deleted	
F	60	54	63	Target hit	
G	760	684	798	One daily candle touched both; posted as target hit	
H	260	234	273	Target hit	
I	900	810	945	Stop hit; post deleted	
J	140	126	147	Target hit	

Practice set, calls K to T

K to O follow the same 10% stop and 5% target. P to T gave no stop at all, so their R cannot be measured: write 'unmeasurable' and note what happened.

Call	Entry (Rs)	Stop (Rs)	Target (Rs)	What happened	Your R / red flag
K	420	378	441	Target hit	
L	580	522	609	Stop hit; post deleted	
M	80	72	84	Target hit	

Call	Entry (Rs)	Stop (Rs)	Target (Rs)	What happened	Your R / red flag
N	1200	1080	1260	Stop hit; post deleted	
O	300	270	315	Target hit	
P	220	None given	240	Now at 187; still 'running'	
Q	640	None given	700	Fell to 480 first, then hit target; posted as target hit	
R	95	None given	110	Now at 70; still 'running'	
S	1500	None given	1650	Now at 1290; still 'running'	
T	410	None given	450	Target hit	

Week 1 review

Write your answers in today's journal with the entry type 'Weekly review'; it counts towards your certificate. Numbers only, no real names.

Question	Your answer (numbers or one line)
My hit-rate on calls with a stop	
My average R per measurable call	
Share of calls with no stop	
How far that is from the '80%' banner	
Shakiest Week 1 question, and the day to reread	
Registration and app checks: did the names match?	
When I would use the grievance desk, SCORES, SMART ODR or 1930	
My FII/DII flow log (Day 1): did any one evening's flow tell me what the next day did?	
One habit I carry into Week 2	

OUTCOME

By the end you can test any tip with five Week 1 questions, audit a set of calls for hit-rate, R and missing stops, spot fake-app and WhatsApp-group red flags, check a SEBI registration and a trading app's publisher, name the complaint path (grievance desk first, then SCORES or SMART ODR), and write a weekly review.

TOOLS

- Google Sheets
- Any AI chat
- SEBI website (sebi.gov.in)
- SCORES (scores.sebi.gov.in) and SMART ODR (smartodr.in)
- Your phone's app store (Google Play or App Store)

WITH YOUR BATCH

Audit race: with classmates or family, everyone audits the same 20 practice calls at the same time. The first to fill every row of the R column correctly, with the working shown, wins; the lesson's totals are only for checking. Alone? Time yourself, then try the 60-second red-flag hunt in the AI Lab.

Studying on your own? Do it yourself and note what you found in your journal.

Note: Educational content only, not investment advice. The tips, channel and scam messages in this lesson are made up for training. Stage 1 uses virtual money only. 5 Circles Pvt Ltd · SEBI Registered Research Analyst · Reg. No. INH000020004

AI is the analyst; you pull the trigger. Run a prompt in any AI tool, then sort its answer into Fact, Guess and Kachra (junk).

Audit the practice set

I am a beginner doing a practice audit for my trading course. Below is a made-up set of 20 stock tips created by my course mentor for training; the stock names are placeholders and none of this is real market data. I have already filled in my own R result for every call and worked out three numbers: the hit-rate on the calls that had a stop, the average R per measurable call, and the share of calls with no stop. Step 1: ask me to paste my R column and my three numbers, then wait. Step 2: check each R entry and each number step by step with two rules: a call with no stop is 'unmeasurable' and is left out of the hit-rate and the R average; if one daily candle touched both the target and the stop, count it as a stop hit (-1R). Explain any mistake in simple words. Step 3: list the red flags you can see in this set, such as missing stops, deleted losing posts and a 'both touched' day shown as a win, as a plain list. Do not recommend any stock, do not give buy or sell advice, and do not suggest price targets or expected returns for any real security.

The practice set (entry / stop / target / outcome):

Stock A: 200 / 180 / 210 / target hit

Stock B: 480 / 432 / 504 / stop hit (post deleted)

Stock C: 120 / 108 / 126 / target hit

Stock D: 1000 / 900 / 1050 / target hit

Stock E: 340 / 306 / 357 / stop hit (post deleted)

Stock F: 60 / 54 / 63 / target hit

Stock G: 760 / 684 / 798 / one daily candle touched both (posted as target hit)

Stock H: 260 / 234 / 273 / target hit

Stock I: 900 / 810 / 945 / stop hit (post deleted)

Stock J: 140 / 126 / 147 / target hit

Stock K: 420 / 378 / 441 / target hit

Stock L: 580 / 522 / 609 / stop hit (post deleted)

Stock M: 80 / 72 / 84 / target hit

Stock N: 1200 / 1080 / 1260 / stop hit (post deleted)

Stock O: 300 / 270 / 315 / target hit

Stock P: 220 / no stop given / 240 / now at 187

Stock Q: 640 / no stop given / 700 / fell to 480 first, then reached target before month-end (posted as target hit)

Stock R: 95 / no stop given / 110 / now at 70

Stock S: 1500 / no stop given / 1650 / now at 1290

Stock T: 410 / no stop given / 450 / target hit

60-second red-flag hunt

Create one made-up WhatsApp message of about 80 words in the style of an Indian stock-tips group, clearly labelled 'PRACTICE SCAM EXAMPLE - NOT REAL'. Use placeholders only (for example 'Stock X'): no real company, person, channel, app or bank. Hide at least 6 red flags in it, such as an accuracy claim, urgency, limited seats, payment to a personal account, a 'VIP institutional account' or a fee to withdraw. Show me the message and wait while I list the red flags I can find in 60 seconds. Then reveal every red flag, mark the ones I missed, and for each one explain in one line what a SEBI-registered entity would do differently. Do not give buy or sell advice, do not mention any real security, and do not give price targets or return expectations.

Verify and escalate

Act as a careful investor-protection guide for India, talking to a complete beginner. In short numbered steps, explain: (1) how to check on sebi.gov.in whether a person or firm is a SEBI-registered Research Analyst or Investment Adviser, and which details must match; (2) signs that someone may be using another entity's registration number; (3) the complaint path when a registered broker or adviser does not solve a problem: the entity's grievance desk, SEBI SCORES and SMART ODR; (4) where to report fraud by people who are not registered at all; (5) how to check that a trading app is genuine before installing it: the broker on SEBI's list of stock brokers or the exchange member directory, and the same name as the developer on the official app-store listing, never an APK file or a link from a chat. Label every statement Fact (checkable on an official website), Guess (you are unsure or it may have changed) or Kachra (a popular myth), and end with a list of the steps I should re-check on the official sites because menus and rules change. Do not ask for any personal details, do not name or judge any real adviser or company, and do not give buy or sell advice, targets or return expectations.

The same prompts are in this day's AI Lab tab in the app, with a Copy button. Never paste your PAN, client ID, passwords, OTPs or contract notes into any AI.

Journal

Weekly review (choose 'Weekly review' as the entry type; it counts towards your certificate): what hit-rate, average R and no-stop share did your audit find, and how far were they from the '80%' banner? Which of the five Week 1 questions is still the shakiest for you? Write numbers only, never the name of a real channel or person.

Write your answer here, then save it in the app's Journal tab.

A shortcut promises to get you there faster. A process only tells you honestly where you stand, and at the end of Week 1, that is exactly what you need.

Quiz

Tick your answers here, then submit the quiz in the app: only the app attempt counts.

Q1. The mentor's full record of a practice channel shows 20 calls. 4 had no stop. Of the other 16, 10 hit the target and 6 hit the stop, and the channel deleted those 6 posts. What is the audited hit-rate?

- ☐ A 70% (no-stop calls as wins)
- ☐ B About 63% (10 of 16)
- ☐ C About 71% (10 of 14 in the feed)
- ☐ D 50% (10 of all 20)

Q2. Aman's SEBI-registered broker has not resolved his complaint about a wrong charge on his contract note, even after he wrote to its grievance desk. Which of these is the right next step?

- ☐ A Stop paying its charges until it refunds
- ☐ B Take it to SEBI's SCORES portal, with proof
- ☐ C Report it on the 1930 cyber helpline
- ☐ D Warn others by naming it on social media

Q3. You are auditing on daily charts. A call had entry Rs 500, stop Rs 470 and target Rs 530. The next day's candle made a high of Rs 534 and a low of Rs 466. How should you record it?

- ☐ A As a stop hit, -1R
- ☐ B As breakeven, 0R
- ☐ C As unmeasurable, left out
- ☐ D As a target hit, +1R

Q4. Priya's neighbour joined a WhatsApp 'institutional' group and sent Rs 40,000 to an account in a person's name. The app now shows Rs 1.2 lakh, but to withdraw he must first pay a 15% 'processing fee'. What is the best next step?

- ☐ A File on SEBI SCORES, then wait for SEBI
- ☐ B Pay the fee, as the profit covers it easily
- ☐ C Pay nothing more; save proof and call 1930
- ☐ D Wait a few weeks for the app to release it

Q5. An Instagram page shows a SEBI Research Analyst number and asks for a Rs 7,999 fee by UPI for 'premium calls'. Which check matters most before paying?

- ☐ A Its screenshots show many target hits
- ☐ B It has more than one lakh followers
- ☐ C Its name and number match SEBI's list
- ☐ D It posts a photo of its SEBI certificate

Important information

This handout is study material for CIRCLE S.M.A.R.T, Stage 1 of the 5 Circles Academy. It teaches how the market works. It does not give tips, calls or investment advice, and it does not recommend any security. Company names in the examples are made up; charts and numbers are illustrative; practice uses virtual money only.

Complaint? Write to our Compliance Officer first. If it is not resolved, you can take it to SEBI SCORES (scores.sebi.gov.in) or SMART ODR (smartodr.in).

Company	5 Circles Private Limited
SEBI	SEBI Registered Research Analyst (Non-Individual)
Registration	Reg. No. INH000020004 · 06 March 2025
Principal Officer	Rahul Sarawgi
Compliance Officer	Suchita Sarawgi
Email	info@5circles.co
Phone	+91 638 749 7277

Disclaimer

Investment in securities market is subject to market risks. Read all related documents carefully before investing. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Past performance is not indicative of future results. The analyst or dependents may hold positions in the securities discussed. 5 Circles Pvt Ltd · SEBI Registered Research Analyst · Reg. No. INH000020004